ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LECTURE: DEFINITION OF ENTREPRENEURSHIP AND TURNING KNOWLEDGE INTO PROFIT (ENTERPRISE, ENTREPRENEUR, INTRAPRENEUR, ENTREPRENEURSHIP THEORY & PRACTICE)

OUTLINE
Definition of a business
Enterprise
Entrepreneur
Intrepreneur
Entrepreneurship
Entrepreneurship theory and practice

The aim of this lesson note one is to explain the above outline.

Objectives

On the completion of this this lesson note one, students will understand the difference among the following; enterprise, entrepreneur, intrapreneur, entrepreneurship and entrepreneurship theory and practice. This will help the students in the following ways:

- To understand what constitute business activity
- To be familiar with the concept of entrepreneurship
- To understand entrepreneurship as a multifaceted discipline.
- To examine the interlinkages operating among the disciplines and their various contributions
- To identify various disciplines that has contributed to the development of entrepreneurship.
- To provide entrepreneurial services, e.g. a doctor treats a patient
- To enhance human life or living, e.g. a surveyor helps to plan a city

What is a business?

A business is any activity that is involved in developing, producing and distributing of goods and service in return for a profit. A business can also be referred to as the activity of making, buying, selling or supplying goods and services for money.

Reasons for business

1. Profit making
2. Wealth creation
3. Provision of services
4. Employment generation

What is an enterprise?

Enterprise can be defined as initiative, or purposeful broad plans requiring many coordinates; or in business or financial applications as the overall operating entity.

An enterprise is an activity or a project that produces services or products. There are essentially two types of enterprise:

- Business enterprises, which are run to make a profit for a private individual or group of individuals. This includes small business.
- Social enterprises, which function to provide services to individuals and groups in the community.

Business enterprises

This is type of enterprise established by individual, corporate or government in order to provide essential service(s) while making profit or return. There are lots of different enterprises around; many are small businesses. Sometimes one person owns and runs them; sometimes they're a family business; other businesses are owned and run by partners who aren't family relations.

To earn an income from a small business, the enterprise has to run at a profit; that is, some money should be left over for the business owner once all the costs of making the product or delivering a service have been met. Entrepreneurs usually decide to set up small business to earn an income from producing and selling products or delivering services to individuals or other businesses.

Common small businesses

Some small businesses are easy to recognise because they have a location or shop-front or a site where you can see them in operation, making or fixing things and serving customers. For example:

- Furniture shop
- Small farm settlement
- restaurants / canteen
- bread making/confectionary
- printing works
- hairdressing salons
- Hotels
- Cosmetics and bead making
- Soap making etc

Social enterprise

Social enterprise functions as a way of providing services to individuals and groups in the community. A social enterprise is basically an organization or enterprise that applies business techniques to

maximize improvements in human and environmental well-being with the intention of maximizing profits for external shareholders and providing essential services to the host community.

Why is the need for Social Enterprise? Social enterprises reinvest the money they make back into their business or the local community.

1. This allows them to tackle social problems,
2. Improve people's life chances,
3. Support communities and help the environment.

So, when a social enterprise makes profits, it has a positive multiplier effect on the society.

Roles and objectives of an enterprise

An enterprise that is characterized with commercial, financial, or business elements or purposes for instance, are created to;

1. Provide income for the owner,
2. Create jobs as well as
3. Develop the economy, etc

Who is an Entrepreneur?

Entrepreneur is refers to as a person who undertakes and operates a new venture, and assumes some accountability for the inherent risks. Entrepreneur can also be seen as a person who makes money by starting or running a business and identifies a vacuum in the market demand and creates a product to satisfy the need.

The concept of "entrepreneur" is a French word called "entreprendre" meaning to undertake. This concept was used to refer to a business organization in the 18th century who deals or buys and sells goods at uncertain prices.

Definition of Entrepreneur from various writers

Entrepreneur is
- Is a risk taker
- An organizer
- As an innovator
- As a leader

Richard Cantillon (1755) defines entrepreneur as the agent who buys means of production at certain prices in order to combine them into a new product.

Say, J.B (1821) defines entrepreneur as one who brings other people together in order to build a single productive organism.

Schumpeter (1934) defines the entrepreneur as a person who is willing and able to convert a new idea or invention into a successful innovation

Ogundele (2000) defines entrepreneurs as the innovating individual, who initiates and nurtures to growth a new and an ongoing business organization, where none existed before. He is the individual who successfully thinks or conceives a new business concern, organizes or initiates actions to start it, and manages it through its initial problems and struggles for survival. He takes all measures that lead the organization to a state of stability and self-sustaining growth.

Drucker (1985) defines the entrepreneur as the innovative individual who perceives business opportunities and organizes the required resources to initiate a successful business activity for profit.

Kuratko and Hodgetts (2001) define entrepreneur as individual who recognizes opportunities where others see chaos and confusion.

The concept of entrepreneur could be historically summarized as shown below.

Period	**Particularizations**
Early time	Stems from French: means: between, taker, go between.
Middle Age	Actor and persons in charge of large-scale production projects
17th century	Person bearing risk of profit (loss) in a fixed price contract with government
1755	Richard Cantillon – person bearing risk
1821	Jean Baptist say – separated profits of entrepreneur from profits of capital interest.
1904	Max Weber – Protestant ethics and spirit of capitalism behavioural outlook
1934	Joseph Schumpeter – entrepreneur as innovators developing untried technology
1961	David McClelland – achievement oriented, energetic, moderate risk taker
1964	Peter Drucker – entrepreneur maximizes opportunities
1975	E.O. Akeredolu-Ale entrepreneur seen from socio cultural and political perspectives
1975	Albert Shapero – takes initative, accepts risks of failure, and organizes some social and economic mechanisms.
1980	Karl Vester – entrepreneur seen differently by economists, psychologists, business persons and politicians
1985	Robert Histrich – entrepreneur – assuming financial, psychological and social risks, in creating something different in value and receiving the resulting rewards of monetary and personal satisfaction.
1995	A.U. Inegbenebor – dynamic structure builders for effective performance.
2000	O.J.K Ogundele – empire builder exploiting opportunities

Source: Adapted from Histrich, R.D. and Peters, M.P. (2002) Entrepreneurship, New York: McGraw Hill higher education, and Ogundele, O. J .K (2007) Introduction to Entrepreneurship Development, Corporate Governance & Small Business Management. Lagos: Molofin Nominees.

It could be seen from the table above that the concept of entrepreneur has varying origins and usages in different times and regions.

Characteristics of an entrepreneur

Hornaday (1982) produced a list of forty two (42) characteristics which were often attributed to entrepreneurs; they are stated below.

1.	Confidence	22.	Responsibility
2.	Perseverance	23.	Foresight
3.	Energy, diligence	24.	Accuracy, thoroughly
4.	Resourcefulness	25.	Cooperativeness
5.	Ability to take calculated risk	26.	Profit orientation
6.	Dynamism, leadership	27.	Ability to learn from mistakes
7.	Need to achieve	28.	Sense of power
8.	Optimism	29.	Pleasant personality
9.	Versatility, knowledge of product market, machinery, technology	30	Egotism
10.	Creativity	31	Courage
11.	Ability to influence others	32	Imagination
12.	Ability to get along well with people	33.	Perceptiveness
13.	Initiative	34	Tolerance for ambiguity
14.	Flexibility	35.	Aggressiveness
15.	Intelligence	36.	Capacity for enjoyment
16.	Orientation to clear goal	37.	Efficacy-effectiveness
17.	Positive response to challenge	38.	Ability to trust workers
18.	Independence	39	Sensitivity to others
19.	Responsiveness to suggestions and criticism	40	Honesty, integrity
20.	Time competence, efficiency	41	Commitment
21	Ability to make decisions quickly	42	Maturity, balance

Source: Adapted from Kuratko D.F and Hodgets R.M. (2001).

The top ten Characteristics of today Entrepreneurs

1. Creative and innovate
2. Visionary and inspired
3. Perseverance
4. Optimistic
5. Gap-fillers
6. Coordinator and organizer

FUNCTIONS OF ENTREPRENEURS

Ogundele,(2004) has classified the functions of entrepreneur as follows

Social Functions of Entrepreneur

1. Transforming traditional indigenous industry into a modern enterprise.
2. Stimulating indigenous entrepreneurship, the entrepreneur has in his employment potential rivals.
3. Jobs or employment creation in the community
4. Provision of social welfare service of redistributing wealth and income
5. Providing leadership for the work group
6. Providing for and responsible for the motivational system within the firm

Economic Functions of Entrepreneur

1. Marshalling the financial resources necessary for the enterprise or mobilizing saving
2. Bearing the ultimate risk of uncertainty.
3. Providing avenue for the dispersal and diversification of economic activities.
4. Utilization of local raw material and human resources

Who can become an entrepreneur?

Anyone can become an entrepreneur in as much as the person is ready to experience deep, dark and depth of uncertainty and ambiguity and ready to work through the breath of island of success.

An Entrepreneur is a catalyst for economic change, which uses purposeful searching, careful planning, and sound judgment when carrying out the entrepreneurial process. Uniquely optimistic and committed, the entrepreneur works creatively to establish new resources or endow old ones with a new capacity, all for the purpose of creating wealth.

TECHNOPRENEUR

A technopreneur is an individual whose business is in the realm of high technology, who at the same time has the spirit of an entrepreneur. The technopreneur represents new breed that is both innovative and equally enterprising. This concept is derived from combining together, technology and entrepreneur.

Ovia (2007) notes, a technopreneur is an entrepreneur whose business involves high technology or to put more clearly a technology innovator and a businessman all combined in one individual. The technopreneur, therefore, combines both technological know-how and business expertise. The technopreneurs thus combine the attributes of the scientist and an enterprise person in one individual.

Characteristic of a Technopreneur

- They are naturally gifted
- They are smart
- They are highly creative

Technopreneurs however, possess all the characteristics linked to an entrepreneur. The reason for the difference between technopreneur and entrepreneur is to identify an individual with science based innovate-ness and business based innovate-ness.

Intrapreneurship

Intrapreneurship refers to employee initiatives in organizations to undertake something new, without paying for the risk involved in the exercise." Hence, the intrapreneur focuses on innovation and creativity, and transforms an idea into a profitable venture, while operating within the organizational environment. Intrapreneurship is the act of behaving like an entrepreneur, except within a larger organization or without necessarily taking a direct risk.

What is Entrepreneurship?

Entrepreneurship is seen as act of recognizing opportunities in the environment, mobilizing resources to take advantage of such opportunities, ensuring the provision of new or improved goods and services to the consumers and obtaining profit in return for the risk taking. Entrepreneurship is the process or a way of thinking, reasoning (about risk and return) and acting to gain at the long-run, (that is), trying to make use of the opportunity within the environment and takes responsibilities for mobilizing the required resources to take advantage and make profit in return.

Entrepreneurship
- Richard defines entrepreneurship in terms of uncertainty bearing
- Say defines entrepreneurship in terms of coordination of production of resources
- Schumpeter defines entrepreneurship in terms of introduction of innovation
- Reich defines entrepreneurship in terms of leadership attribute

Advantages of entrepreneurship

1. Enormous personal financial gain
2. Self- employment
3. Create employment for others
4. Income generation and increased economic growth
5. Development of new market
6. It promotes exportation of goods and services
7. More goods and services are available

Disadvantages of entrepreneurship

1. High level of risks are involved
2. Lack of fund
3. Lack of government support for research and development
4. Lack of infrastructural support
5. Insecurity
6. Unstable economic policies

Contributions of entrepreneurship

1. Development of a new market
2. Discover new source of materials
3. Mobilize capital resource
4. Introduction of new technology
5. Create employment
6. Creation of wealth
7. Economic growth

ENTREPRENEURIAL THEORIES

Writers have come up with several theoretical frameworks on entrepreneurship development. These theories include but not limited to the following, economic, socio-cultural, managerial, educational, developmental, experiential, innovation, network, structural and multi-dimensional theories. Each of these theories had been used in the study of the processes of entrepreneurship. Let us now focus on summary of existing entrepreneurship theory.

1.1 Entrepreneurial Theories

Economic Theory: Writers like Schumpeter, (1934) and Drucker, (1985), see entrepreneur as the man who perceives business opportunities and takes advantage of scare resources to use them. Relevant, therefore, are the structure of economic incentives that are available in the market. The patterns of economic incentives have acted as stimuli for the emergence of entrepreneurs. They have also influenced the positive responses in terms of behaviour and their performance (Kilby, 1965; and Singh, 1985).

Political Theory: The influence of the political factor on the emergence, behaviour and performance of entrepreneurs had been reported by several writers. Schatz (1962 and 1964) discussed two forms of assistance that were provided for indigenous entrepreneur by government in Nigeria. These were (1) the financial support through the federal loans board and (2) the establishment of the Yaba Industrial Estate for use by indigenous entrepreneurs. Ogundele (2000) discussed the provision of training and financial assistance by government to indigenous entrepreneurs through National Directorate of Employment (NDE). Government by way of legislations and provision of infrastructures and other support systems have aided the entrepreneurial processes.

Ecological Theory: This approach is concerned with the influence of the environment on business start up, without having to obtain information about the characteristics and motivation of the organization founders (Left, 1979; Marret 1980, and Penning, 1982).

Historical Theory: This approach considered past historical antecedents as independent variable on the emergence, behaviour and performance of entreperneeurs. To the writers in this group belong (Cole, 1959; Akeredolu-Ale, 1975; and Rostow, 1982). Akeredolu Ale (1975) specifically emphasized the pre-empting of post war opportunities in explaining the underdevelopment of indigenous entrepreneurship in Nigeria.

Managerial Theory: This perspective focuses on the perception of market opportunities. It in addition emphasizes the operational skills required to run a successful enterprise (Kilby, 1971; Meredith, Nelson and Neck, 1991, and Osuagwu, 2001). Kilby (1971) listed thirteen managerial functions, which the entrepreneurs might have to perform for the successful operation of their enterprises. Carland, Hoy Boulton and Carland (1984) regarded the employment of strategic management practices as the function of entrepreneurs. Therefore managerial skills will have direct positive effect on the entrepreneurship processes of emergence, behaviour and performance. The environment that provides opportunities for relevant skills acquisition will tend to promote entrepreneurship.

Educational Theory: It is concerned with general level of education in the society. Its proponents contended that education tend to broaden peoples' outlook. It equips people with needed skills to look at the world around them in a more organized and coordinated fashion. This will make them to perform better in entrepreneurial role (Aluko, 1983; Browen and Hisrich, 1986 and Singh, 1986). Akeredolu-Ale (1975) found that more entrepreneurs had lower levels of formal education than the civil servants. He could not establish any direct association between the level of formal education of entrepreneurs and the degree of success achieved. Bowen and Histrich (1986) reported that the general conclusion the entrepreneurs are less well educated than the general population was not supported by their study. Also Singh (1986) found that earlier notion that those lacking educational

qualification were usually the ones who went in for business was not borne out on his study. Earlier on Aluko (1983) reported that new breeds of highly educated entrepreneurs were emerging in Nigeria. Ogundele (2000) found that the performance of some entrepreneur in his studied groups was aided by better education which many of them had. The broaden outlook through the educational process could aid in accurate perception of opportunities, and therefore affect entrepreneurial emergence, behaviour and performance.

Innovation Theory: Entrepreneurs are here considered as innovators whose task is creative destruction. This results from bringing about novel combination of products and ideas, thus rendering obsolete previously existing products or ideas. Consequently, the process of endowing resource with new wealth producing capacity is central to any conceptualization of entrepreneurship (Schumpeter, 1934, Tushman and Nelson, 1990, Amit Glosten and Muller, (1993). Kiby (1971) considered adaptation as innovative function of entrepreneurship in a developing economy. Amit, Glosten and Muller (1993) and Hobdat (1995) considered innovation as a distinguishing feature of entrepreneurship. It is, they noted, the process of extracting profit from new, unique and variable combination of resources in uncertain and ambiguous environment by exploiting opportunities. Innovation, therefore, is about exploiting opportunities.

Network Theory: This theory focuses on the social links which promote or hinder entrepreneurship. This is because, it considers entrepreneurship as being involved and as interacting in network of continuing social relations that open up or block entrepreneurs' link with existing resources and opportunities. It is concerned with the intricate nature of interpersonal relationship (Aldrich Rosen and Woodward, 1987, Dubini and Aldrich, 1991 and Cardor, Zietsma, Saparito, Matheme and Davis, 2005). As a result relationship in social settings can provide opportunities for entrepreneurship.

Structural Theory: This approach examines the effect of internal patterns of relationship among various parts and components of an organization on entrepreneurship. It had been noted that the quality of organizational resources and the efficiency with which entrepreneurs carry out organizational functions affected their performance. The structure of entrepreneurial organization was found to have enabled them to react fast to changing environment and adapting to new demands. In addition internal structural arrangement to context was found as a significant basis for achieving effective performance (Akeredolu Ale, 1975; and Inegbenebor, 1995). Akeredolu-Ale (1975) noted that the entrepreneurs' quality of organizational resources and consequently the efficiency with which they carry out organizational functions affected their performance. Inegbenebor (1995) argued that internal structural arrangement to the context has a significant basis for achieving effective performance. Emphasis was placed on the dynamic flexibility of entrepreneurial organizations. Thus the structural arrangements in entrepreneurial organization make them to be very adaptive to exploiting opportunities.

Technological Theory: This theory is concerned with machines, equipment, and tools used in producing goods and rendering services. (Woodward, 1965; Kiby, 1965; and Ekpo Ufot, 1990). Woodward (1965) found that technological complexity considerably influenced administrative structure, thus emphasizing the influence of technology on performance. Kilby (1965) noted that small indigenous entrepreneurial organization exhibited a feature of permissive technology leading to fast adaptation. Entrepreneurial technological innovation can be regarded as direct responses to opportunities in the relevant environment.

Multi-Factor Approach: Ogundele and Opeifa (2003) note that the existing theoretical framework reveals that several factors in combination affect the entrepreneurial processes. It is proposed therefore that several rather than a single factor will affect entrepreneurship. In Ogundele (2000), the specific set of factors used as explanatory variables were: (1) social relations (involving elements of socio-cultural and network theories), (2) political factor, (3) economic environment, (4) technology, (5) training and development (6) formal education, (7) previous work experiences, (8) innovation and (9) structural elements of the entrepreneur's organization. This is a multidimensional factors and interdisciplinary approach to the study of entrepreneurship. It is to be noted that this approach is also

based on the opportunities that exist at the appropriate level of analysis. The study predicted that the determinants listed above could positively and negatively affect entrepreneurial emergence, behaviour and performance in Nigeria.

Each of the various levels of theoretical formulation presented above is linked with opportunity of one type or the other. The recurrent emphases by various writers on opportunities in relation to entrepreneurship have provided the impetus for proposing the bounded opportunity approach to entrepreneurial study.

Researchers have also shown that perception of opportunities and the employment of strategic management practices are the functions of entrepreneurs (Kilby 1971, Carland Hoy, Boulton and Carland 1984 and Amit, Glosten and Muller, 1993). Stevenson (1998) and Timmons (1999) emphasized the dynamic nature of the opportunity in the environment and the reactions of the entrepreneur or entrepreneurial team in cashing on the opportunities.

Entrepreneur practice

An educated person need not suffer from unemployment but can put his or her knowledge into use for some profit.

Entrepreneurs get engaged in business activities and convert CAPITAL to PROFIT.
CAPITAL assets include: knowledge, time, good health, money, equipment, raw materials, and other materials, building space, transportation, communication services, etc. Knowledge is the starting point.

The net PROFIT is the money we have after paying off the costs of running the business, taxes, and all expenses incurred by the business.

In the course of carrying out business activities, Entrepreneurs seek for OPPORTUNITIES to be turned into profit, Entrepreneurs discover MARKETS that can be initiated, Entrepreneurs recognize and utilize positive MARKET FORCES.

When you observe a problem and you examine what is required to solve the problem, this is called a NEED ASSESSMENT.

People who make a lot of money include people who:

- Discover a need that many people generally have, therefore, there is a potential ***huge market*** in that need
- Recognize what would be useful for a particular population, group of persons, or profession therefore, there is a potential ***protected market*** in that need
- Have knowledge of how to convert a raw material to a finished product, therefore, there is a potential ***indispensable market*** in that need
- Discover how to make a process or product easier or better, therefore, there is a potential ***convenience market*** in that need
- Know what many people would enjoy, therefore, there is ***certain market*** in that need

A NEEDS ASSESSMENT is important BEFORE you begin a BUSINESS in order to ensure you generate a NET PROFIT.

- ✓ You need to assess if your target market is big enough, is stable, or protected, or convenient, or indispensable or certain, etc.

- ✓ You need to examine your capital assets
- ✓ You need to predict your profit

INTERACTIVE DISCUSSION

For fifteen minutes, think about how you can utilize knowledge from your field:

- To provide five different services
- To make five different products
- To enhance human life in general

For fifteen minutes, consider in turn: your neighborhood, your city, your village, your country.

- For each of these, think about what you like about these places. Think about the knowledge of those persons that made those things you like possible.
- Then think about what you do not like about each of these places. Consider what kind of knowledge is necessary to make to make a change for the better.

HOMEWORK QUESTION 1

If you have enough financial capital and time, how would you invest your money to make a difference in improving a certain aspect of life in your neighborhood and make some profit from doing so? (Write half a page only).

We come to the university to gain knowledge. We will also spend the rest of our lives learning in different ways. This knowledge gained can be used in different ways that we can receive money for. For example knowledge can be used:

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 2 (TWO)

LECTURE 2: ENTREPRENEURSHIP IN PERSONAL AND NATIONAL DEVELOPMENT: (IMPORTANCE OF ENTREPRENEURSHIP AND POSSIBLE BUSINESS OPPORTUNITIES IN NIGERIA)

OUTLINE

Defining entrepreneurship from individual perspective
Defining entrepreneurship from National Development perspective
Importance of entrepreneurship
Possible business opportunities in Nigeria

The aim of this lesson note two is to explain the above outline.

Objectives

On the completion of this lesson note two, students are expected to understand entrepreneurship from individual and national development point of view, know the importance of entrepreneurship and familiar with possible business opportunities in Nigeria. This will help the students in the following ways:

- To understand how entrepreneurship can sustain an individual, family and nation at large
- To be familiar with the importance of entrepreneurship
- To identify various possible business opportunities in Nigeria.

INTRODUCTION

Many sectors of the Nigerian business system were highly restricted and regulated by government from the period of independence until late 1990s. During this era, private participation in core sectors of the economy such as banking, telecommunication, air transportation, television and radio broadcasting etc. were greatly limited and strictly controlled. Today, however, government has deregulated and opened up the economy for more involvement, participation and investment by private entrepreneurs. The purpose is to promote the expansion of the economy through a free enterprise system. In a free enterprise system, businesses are organised, owned, operated, and controlled by private individuals who have the right to a profit (or must suffer the loss) from operations. The system results from the free association of people in a free society. Under this system, you can organize any business the law allows, produce whatever you wish, charge whatever you want, or even sell your interest in the firm.

In reality, however, a business can succeed only if it produces a product or service that the public wants, sells it at a price people are willing to pay, does the job somehow better than the competition, and makes a profit for its efforts. In addition, government regulations and the legal system set limits on certain types of products, businesses, and pricing.

THE ENTREPRENEURSHIP FROM INDIVIDUAL DEVELOPMENT POINT OF VIEW

Individual entrepreneurial development is the systematic process of training and growth which make individual gains and apply knowledge, skills, insights and attitudes, with which he/she manages profit seeking and other work organisations effectively. (Rao, et. al.,1990**),** note that the focus of development approach is entrepreneurship skill. These skills include: (1) Development of entrepreneurial spirit, characteristics and personality (2) Development of technical, technological and professional competencies needed for productive work employment (3) Development of enterprise-building and small business development, capabilities to initiate and start one's own business or self-employment and (4) Development of managerial capability to run the business and other self-employment activity successfully.

The most common motive for individual entering business is to profit and create wealth, the desire to make a profit as a reward for taking the risks of running a business form the major reason why individual get engaged in small businesses. Profit is the income received, minus the costs of operating the business. Profit serves both as a reward for undertaking the risks of business and as a yardstick of one's success at it. Although it appears simple, profit is not always made. Sometimes there are losses. There is a lot, of misunderstanding about how much profit Nigerian entrepreneurs and business owners make. Some people think profits of businesses are too high. Others think that without high profits, there is no incentive for a business to produce goods and services needed by consumers.

INDIVIDUAL AS AN ENTREPRENEUR

Things don't just happen by themselves in any economic endeavour, especially in the world of free enterprise and profit. Someone has to make them happen. Entrepreneurs are the innovative owner – managers who create some new product or service or suggest a better way of using existing products or services. They are the first risk takers to see that the public wants a new product or service and to try to provide it. Entrepreneurs think up ways to satisfy people's needs. They invest money, time, and effort in organizing and managing a firm; run the risk of failure; and reap the rewards of success.

Every time, fortunes are being made or lost in business ventures by those willing to take the risk - ‘ people like Dr. Mike Adenuga, owner of Globacom, Dr. (Mrs) Alakija, Mr. Elumelu, Dr. Adebutu Kenshinton(Baba Ijebu), Mr. Ubah Owner of Capital Oil, Dr. Obi Otudeko who started the Honeywell Group and Econet Wireless, Alhaji Aliko Dangote the founder and chairman of Dangote Group one of the largest indigenous conglomerates in Nigeria and Otunba Sunbomi Balogun the founder and Executive Chairman of First City Monument Bank Ltd.

These following individuals started by identifying entrepreneurial process; this begins when a person has an idea for a new product or service to meet consumer needs. He or she organizes the business; puts up money for buildings, such a plant, office, or store; buys the necessary equipment and materials; hires and trains employees; and begins production or operations. The sales resulting from operations bring in revenue, which is used to pay expenses. What is left over is either profits or loss, the reward or penalty for the owner’s risk taking.

THE ENTREPRENEURSHIP FROM NATIONAL DEVELOPMENT POINT OF VIEW

Country all over the world whose business survival and fortunes depends on production related activities has introduced qualitative education in area of entrepreneurship and technology in order to improve the quality of education that will provide opportunities for employment and generate income to both the individual and the nation at large. But not the types of education that will produce consumers like Nigeria.

Entrepreneurship today has been acknowledged to be a leading vehicle of job creation and economic growth and development all over the world. Consequently, countries all over needs to pay special attention to the needs of entrepreneurs by ensuring that adequate infrastructure is provided, good policy framework is entrenched and better regulatory environments is established, and fair legal system is put in place, provision of capital, protecting the intellectual property rights of companies, newly emerged industries are protected, technology development is enhanced and devoid of unnecessary rivalry.

Effective entrepreneurial education, training and development are the major sure path to national economic development. Nigeria can achieve this, through government commitment and collaborative involvement of the educational institutions, business organisations and research institutions. The multiplier effect will be mass turnout of creative agents of development, like entrepreneurs. The result of the interaction will lead to the development of competent technologists, innovators, scientists, engineers, accountants, technicians who are entrepreneurs in their own way. Entrepreneurship education training and development play very crucial roles in entrepreneurial development and skills acquisition that will translate to national development.

Entrepreneurship generally plays a key role in employment generation, increased productivity through innovation, the facilitation of transfer or adaptation of technology as well as the dynamic generation and utilization of resources.

Importance of Entrepreneurship to National Development

1. Entrepreneurship creates job opportunities for others
2. Improves standard of living
3. Entrepreneurs pay taxes to the government from the profits
4. Entrepreneurship leads to National productivity

5. Entrepreneurship leads to aspiration for new ideas, innovation and technology to improve the existing methods
6. Entrepreneurship development discourage importation and conserve of foreign exchange
7. Entrepreneurship encourages exportation
8. Entrepreneurship leads to expansion and creation of business opportunities through business diversification.
9. Entrepreneurship encourages individuals to set up and manage their business and this reduces importation of goods.
10. Entrepreneurship causes economic growth:
11. Entrepreneurship provides strength to small business:
12. Enhancement of market competition
13. Promotion of effective domestic resource utilization
14. Wealth creation and income generation
15. It encourages research and development

POSSIBLE BUSINESS OPPORTUNITIES IN NIGERIA

Business Opportunities: According to Hill and Jones, opportunities arise when environmental trends create the conditions and potential for a company to make greater profits and achieve strategic competitiveness. It is a major favorable situation in the firm's environment or trends and events that could significantly benefit an. Organization/entrepreneur in the future.

Analyzing the Business Opportunities

Since entrepreneurs seek for opportunities, environment can be scientifically examined so as to identify what can strengthen and consolidate entrepreneur positions in their environment and formulate a good business plan. Effective environmental scanning will generate good business opportunities that can be explored. However, opportunities are characterized by the following;

a. Increase in demand
b. Identification of a previously overlooked market segment
c. Favourable changes in competitive environment
d. Change in government policies
e. Positive technological changes,
f. cost reductions and quality improvements in raw materials
g. Improved in buyer and supplier relationships etc

Possible opportunities for Business in Nigeria

The following are the reasons for better business opportunities in Nigeria

1. Nigeria is densely populated
2. Nigeria is the largest economy in Africa
3. Nigeria is both growing and developing in terms of innovativeness and human capita
4. The government policies on economy is paying off
5. Economic condition of the country is improving etc.

Possible Business opportunities in Nigeria

Business opportunities are all over, however, entrepreneurs must scan the environment to identify these opportunities and examine the viability of such opportunities before investing into such business(es) in order to minimize risk and maximize profit.

Following are the areas of focus for entrepreneurs to invest in Nigeria

1. Agriculture
2. Tourism
3. Arts and fashion
4. Hotel business
5. Furniture making
6. Restaurants / Canteen business
7. Confectionary/bread making
8. Printing business
9. Cosmetics/hairdressing salons
10. Soap making e.t.c

INTERACTIVE DISCUSSION

- For fifteen minutes, imaging yourself at the age of 50 years. Think of all the responsibilities, relationships, and possessions that you would have that would require money to acquire, to obtain, to maintain, to sustain, to preserve, to improve, to participate in, to achieve, etc.
- For fifteen minutes, list all the different ways that one can independently make money without being employed and using a capital of less than N200, 000.00.
- For fifteen minutes, list all the ways that a nation can pursue to achieve a sustainable and develop economy through entrepreneurship

HOMEWORK QUESTION 2

Describe some talents or qualities that can sustain you financially if you could not find employment immediately. (Write half a page only).

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 111 (THREE)

LECTURE 3: Capitalization and Market Forces (Determining capital requirements, raising capital, financial planning & management)

OUTLINE

1. **Objectives and Expectation**
2. **Introduction**
3. **Market Forces**
4. **Market Trends and Survival of Small Businesses**
5. **What is capital in Businesses?**
6. **Types of Capital in Businesses**
7. **The Concept and Theories of Capitalization**
8. **Overcapitalization: Causes, Effects and Remedies**
9. **Undercapitalization: Causes, Effects and Remedies**
10. **Overcapitalization vs Undercapitalization in Small Businesses**
11. **Capital Requirements for Entrepreneurial Businesses**
12. **Raising Capital for a Start-up Small Business**
13. **Financial Planning and Management for Enterprises**
14. **Interaction moments**
15. **Critical but Logical Question for Homework**

1. Objectives

This lecture focuses essentially on providing a detailed explanation on the needs of capital in business ventures and the possibility of sustaining them through effective financial planning in the midst of scarcity or unfavorable economic climate. In this regard, students are expected to have a considerable knowledge on the followings:

- Envisaging, Evaluating and Interpreting Market Trends to take advantage.
- Ideal Limit of Capitalization
- Scarcity is not a Problem but yourself
- Capital Raising
- Planning for Finance, Finance for Planning

2. Introduction

It is undoubtedly true that most business dreams, attractive innovations and ideas remain either unexecuted or aborted prematurely. The common reason for this malady is that there is no means of funding. Nevertheless, it still clear that means of funding are as available as the dreams themselves. The only shortcoming is that over the aggies, people's minds have not been illuminated with the fact that dreams are associated with the various means to initiate and sustain them. In view of this, this study is drafted to provide illustrations and explanations on the interface that exists between enterprise, fund raising, planning and management.

3. Market Forces

Market forces according to Adam Smith, a British moral philosopher, and pioneer of Political Economics, are referred to "invisible hands" or natural phenomena that push/pull the market through competition among units and scarcity of resources. The pulling can either contract demand or increase supply. If supply increases prices rises while a decrease in demand leads to hiking in prices. Alternatively, market forces are mechanisms that influence prices and volumes of goods and services in an economy with little or no government intervention. In a free market economy, allocation of resources or factors of production such as entrepreneur, capital and labor are driven by the forces of demand, supply, market information, seasonality, product differentiation and dynamisms in industries. It so definite, that all these forces, without exception, are the riding wheel of entrepreneurship when evaluating the possible market trends that scale in different dimensions and to various magnitudes.

4. Market Trends

These are self-induced, government-induced, strategically induced, and naturally induced phenomena, which result in swinging of prices. They are opportunities in the market that entrepreneurs can take advantage and make profit.

4.1 Examples of Market Trends

- Initiation of new *government* policies
- Changing in tastes and fashion
- Rising or falling in demand and supply
- Inflow of foreign capital or investments
- Economic diversification
- Changing in major macroeconomic variables such as interest rates, unemployment rate and exchange rate
- Wave of technological knowhow in certain industries
- Quorums of business cycle

In one way or another, the occurrence of all these trends can be evaluated and interpreted by an entrepreneur who wants to run her business effectively, optimally and profitably.

5. Capital

Economists see capital as an equipment, machinery, asset or intermediate product that is used up in the production process of goods and services but it does change after production. Therefore, capital does not include raw materials, land or labor employed by an entrepreneur, it comprises economic durables

like vehicles, tools, electrical gargets, biro or pencil. All these aid productions but they do not change their inherent natures after production. However, in finance, capital is money or near money asset that is committed into a business on short term or long-term basis depending on the gestation period of the business.

6. Types of Capital in Businesses

An entrepreneur has access to three broad classes of capital

short term capital, which ultimately includes available capital in hands at any time, money in bank, short term loan in bank, working capital which can be viewed as the difference between current assets and current liability, trade discount and trade credit to mention but a few,

Medium term capital comprising majorly leasing and hire purchasing

Long-term capital characterized by long term maturity period for redemption. This could include redemption market value received by owners, long term bond or credit with fixed rate.

7. The Concept and Theories of Capitalization

Capitalization has different meanings. In general, it is the provision of capital resources to start a business, upgrade or expand existing one. It can be referred to the conversion of income into capital. Therefore, when an entrepreneur purchases asset with her income it means she has capitalized her income. In accounting, this is not somewhat different because accountants see capital as a cost that can be consumed on a long-term basis. So, any expenses on items such as vehicles, plants and tools are classified as capitalization in accounting but expenses on consumables such as drinks are not called capitalization. The most concise definition is provided in finance. Experts in finance conceptualize capitalization to mean the quantitative assessment of an enterprise capital structure. It is the valuation of the long term means of funding. That is the distribution of capital between owners' and creditors' funds. An enterprise survives and boosts its liquidity by gearing but too much gearing can be disastrous at maturity.

There are two theories of capitalization. These are cost and earning theories.

The cost theory stresses that the total costs of an enterprise assets is referred to its capitalization. Hence, the cost of fixed asset and current assets such as plants, machineries and tractors is known as capitalization. The weaknesses of these theories are:

a) It focuses on costs only without consideration to capacity of assets;

b) It fails to address the time an asset would become obsolete

c) When there is swinging in earnings, the theory fails drastically.

Earnings theory emphasis that the earning capacity of an enterprise asset is its capitalization. The sum of all the earning of an entrepreneur realizes from its venture is called capitalization.

7. Over Capitalization and its Causes

Over capitalization in entrepreneurial business occurs when the own and borrowed capital of an entrepreneur exceed both her fixed and current assets. This means there are losses or the entrepreneur's business carries the burden that is above its capacity. The following are the cause of overcapitalization:

1) Idle Funds

2) Assets with higher costs when compared to their actual costs.

3) Degradation of fixed asset values

4) Inadequate provision for Depreciation

8. **Undercapitalization and its causes**

Undercapitalization is referred to an instance when an enterprise could not get adequate funds or the own capital is less than the borrowed funds so that the enterprise depends solely on borrowed funds to survive.

The causes of undercapitalization are:

1. Low property ratio

2 Low current ratios

3 High return on return on assets

8.1 Effects of Undercapitalization

1 It allows the use of outdated facilities
2 It makes enterprise to run on low costs

8.2 Effects of Overcapitalization

1 It makes profit to be difficult

2 it makes borrowing difficulty

8.3 Remedy to Overcapitalization

Reduce the capital

8.4 Remedy to Undercapitalization

Increase capital

9. Capital Requirements for Entrepreneurial Businesses

Capital requirement is the amount of capital that is required to start up business ant to sustain the business both in short term and long-term periods

10 Raising Capital for a Small Business

1 Yourself financing

2 Raising capital from Friends, family, and fools.

3 Getting Small business loans from the bank

4 Credit from Angel investors.

11 Financial Planning and Management for Enterprises

A good financial planning is an integral part of a successful business. A financial plan, which includes detailed financial statements and projections, forms the core of your overall business plan. Financial planning must be completed at within a year and revised monthly to incorporate actual results.
The two main purposes of planning are:

1. It makes sound business prosperity possible

2. It makes financial assistance feasible

11.1 Steps towards Successful Financial Plan

1 Setting your short and long-term financial goals.

2 Exploring various financing alternatives

3 Cost control

4 Liquidity management

5 Establishing safety net

6 Plan for business succession

7 Setting up a retirement plan

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 4

LECTURE 4: TOPIC: ENTREPRENEURSHIP QUALITIES AND SKILLS (INNOVATION)

OUTLINE

Introduction
Entrepreneurs Skills
Skills Every Successful Entrepreneur has in Common
Skills Required to succeed as an Entrepreneur
Qualities of Entrepreneurs
Innovation
Conclusion

The aim of this lesson note one is to explain the above outline.

Objectives

On the completion of this lesson note four, students will understand the successful entrepreneur skills, qualities and entrepreneurial innovativeness among others. This will help the students in the following ways:

- To understand what entrepreneur skills are
- To know the skills every successful entrepreneur has in common
- To examine the qualities of entrepreneurs
- To understand entrepreneurial innovativeness.

INTRODUCTION

Entrepreneurs are driven by the desire to be their own bosses, do what they want to do, and turn passions into profit-making businesses. An Entrepreneur is one who initiates a new business in the face of risks and uncertainty for the purpose of satisfying human needs and making a profit. An Entrepreneur carves out a niche for himself by scanning the environment, identifying opportunities and threats and combining and utilizing the necessary resources to capitalize on opportunities identified.

There are so many factors as reasons why people go into business for themselves. However, entrepreneurial spirit is often cited as the desire to create a new business. Other factors may include independence, the desire to determine one's own destiny, and the willingness to find and accept a challenge that, certainly play a part even though family background may also exert an influence as well. However, there must be some motivation to start a business such as leaving a paid employment where opportunities were not available to think and earn your own living, lost of jobs, having an idea for a new product or a new way to sell an existing product or the opportunity to invest into business may arise suddenly. In some people, the motivation to start a business whether small or medium develops slowly as they gain the knowledge and ability required for success as a business owner. Nigeria is naturally endowed with entrepreneurial opportunities; however the realization of the full potential of these opportunities has been dampened by the adoption of inappropriate industrialization policies at different times (Ebiringa, 2012).

Entrepreneurship involves taking chances, but new businesses do not emerge by accident (Egelhoff, 2005). They are usually founded as a result of motivated entrepreneur gaining access to resources and finding niches in opportunity structures. Hence, entrepreneurship could be seen as the process of identifying and exploiting unique business opportunities that stretch the creative capacities of both private and public organizations. Since economic environment could support or suppress entrepreneurship, governments world over undertake to develop macroeconomic policies that focus mainly on providing access to resources and support services to individuals and organizations that display flair for expanding their business horizons.

ENTREPRENEURS SKILLS

Every business requires unique technical skills and knowledge on part of the owner. You have to be good at what you do for your business to succeed. This often means getting additional education and training on an ongoing basis, sometimes for the purpose of obtaining specific credentials (e.g., certifications, licenses).

In order to succeed, an entrepreneur needs some skills in his interpersonal relationships with people during his business activities such as; time management, negotiation, opportunity seeking, goal setting, information gathering, persuasion and networking, personal values, family and experienced partner, in addition to technical, human and conceptual skills. However, in addition to these skills other necessary skills are discussed for both highly developed successful entrepreneurs to budding entrepreneur and those who are contemplating becoming self-employed in the future. If you have entrepreneurial skills then you will recognize a genuine opportunity when you come across one. What does it take to be successful starting your own small business?

12 RECOGNIZED SKILLS EVERY SUCCESSFUL ENTREPRENEUR HAS IN COMMON

1). **Resiliency**. The ability to whether the ups and downs of any business since it never goes exactly the way the business plan described it. This skill enables the entrepreneur to keep going when the outlook is bleak.

2). **Focus.** After setting a long term vision, you must be focused and never distracted in order to achieve your goals.

3). **Invest for the long-term.** Most entrepreneurs are not patient and focus only on what comes next, rather than where the company needs to go. Overnight success may take 7 to 10 years. Entrepreneurs need to stop, pause and plan on a quarterly basis.

4). **Find and manage people**. Only by learning to leverage employees, vendors and other resources will an entrepreneur build a scalable company. They need to learn to network to meet the right people. Entrepreneurs strive to guarantee they will get honest and timely feedback from all these sources.

5). **Sell.** Every entrepreneur is a sales person whether they want to be or not. They are either selling their ideas, products or services to customers, investors or employees. They work to be there when customers are ready to buy. Alternately, they know how to let go and move on when they are not.

6). **Learn**. Successful entrepreneurs realize they don't know everything and the market is constantly changing. They stay up to date on new systems, technology, and industry trends.

7). **Self-reflection**. Allow downtime to reflect on the past and plan for the future. Always working only leads to burnout physically and emotionally.

8). **Self-reliance:** While there is a lot of help for the entrepreneur, in the end, they need to be resourceful enough to depend on themselves.

9). **Creative Thinking:** Entrepreneurs are known for thinking outside of the box. Creative thinking can take a smart, capable business owner to another level of success.

10). **Leadership:** Entrepreneurs often have an evangelistic quality. They have great ideas, and are skilled at getting buy-in from investors and employees.

11). **Risk Taking:** Entrepreneurs often seem more comfortable with risk than other business leaders. This can lead to tremendous failures, but also stunning successes. Entrepreneurs are willing to live without a steady paycheck and make short-term sacrifices for a long-term payoff. That said, the risks that entrepreneurs take are calculated, and aren't simply done for the thrill.

12). **Strong Work Ethic:** Being an entrepreneur may seem flashy and exciting. But a lot of hard work and long hours are required to launch something new. To be successful, entrepreneurs must execute. Entrepreneurs are relentless when it comes to completing projects and following through on the work required to turn ideas and plans into sellable products.

Individuals possess different traits, behaviour and attitude in handling situations and ability to cope with stress involved in business nurturing. Since, entrepreneurship can be learned even though some possess the inborn traits inherited from their family background, here are some tips on skills you require for a successful entrepreneur:

THE 15 SKILLS REQUIRED TO SUCCEED AS AN ENTREPRENEUR

1. The ability to manage money: Very simply, if you can't manage money, you can't manage a business.

2. The ability to raise money: Once you can manage money, can you get more? In order to get investment, you need to not only understand where to get money, but how to convincingly make a case that your business is a good risk as well.

3: The ability to relieve stress: Stress is no laughing matter. If you allow yourself to get frustrated and upset by setbacks, you'll struggle as an entrepreneur. Learning how to use stress to your benefit is essential.

4. The ability to be productive: Learn about your peak energy times, your routines, and the productivity tools that work for you in order to create your own plan for success.

5. The ability to make entrepreneur friends: Improve your odds of success by finding entrepreneur friends who will be able to understand your struggles and give you much needed insight.

6. The ability to identify strengths and weaknesses: As a business owner, you don't need to be perfect at everything. You do, however, have to understand where you're strong and where you're weak.

7. The ability to hire effective people: Having great people on your team will give you access to new strengths, while also building a company culture that people want to be a part of. Hiring the right people is essential to get where you want to go.

8. The ability to train new staff: When you bring on someone new, a robust on boarding process will ensure that they know what to do and not do. Not only will this help keep your company moving the correct direction, it will increase the commitment level of good employees and give you grounds to follow up on misconduct.

9. The ability to manage staff: Once you have the right people, you need to manage them well. If you don't already know how to manage, take the time to learn how to motivate, encourage, and develop your staff.

10. The ability to connect via social networking: Social networks represent a key part of any business's marketing strategy. Not only will you need to understand each platform, you'll want to arm yourself with the best strategies for getting your startup and personal brand noticed on each one.

11. The ability to focus on your customers: To be clear, without customers, you have no business. Make sure all of your pitches, products, and services are focused on actual customer needs. If you don't know what these are, research and ask questions so that you're able to give great customer service.

12. The ability to close a sale: Letting customers know you understand their pain is important, but asking for the sale is where many entrepreneurs get stuck. If you're nervous about this step, try enrolling in a sales workshop to learn these much-needed skills.

13. The ability to spot new trends: Business moves fast, so you've got to have the ability to see changes coming in your industry. Make it a point to keep up to date on new startups and the advances in technology that could be poised to disrupt your field.

14. The ability to deal with failure: No business venture is a straight line to success; knowing how to deal with ups and downs is essential. Remember that every successful person out there failed dozens of times before getting a win. Failure isn't the end - it's just a data point on the way to success.

15. The desire to improve your world: In the end, the best and most enduring motivation is to make a positive change in the world. When you focus your business and your success on that top priority, you'll find yourself ready to weather any storm to meet the goal.

Being an entrepreneur is a big task, but all of these skills can be learned. If you notice one you're lacking in, go get it! Your eventual success depends on it.

List of A-Z Entrepreneurial Skills by Alison Doyle (2016)

A – G	**H – M**	**N – S**	**T – Z**
• Analytical • Belief • Bravery • Business Storytelling • Collaboration • Confidence • Communication • Competitive • Compulsion to Succeed • Computer • Creative Thinking • Critical Thinking • Decision Making • Drive • Enthusiasm	• Goal Oriented • Goal Setting • Initiative • Innovation • Interpersonal • Leadership • Logical Thinking • Management • Motivation	• Negotiation • Nonverbal Communication • Optimism • Organization • Passion • Perseverance • Persuasion • Planning • Positive Attitude • Positive Image • Positivity • Presentation • Prioritization • Problem Solving	• Team Building • Technology • Think Outside the Box • Time Management • Transformation • Trend Setting • Vision • Vision into Action • Work Independently

• Flexibility • Focus		• Relationship Building • Results Oriented • Risk Taking • Sales • Social Media • Stamina • Strategic Planning • Strategic Vision • Strategy • Strong Work Ethic • Success Driven	

INNOVATION

Entrepreneurship is a key driver of any economy; wealth and a high majority of jobs are created by small businesses started by entrepreneurially minded individuals, many of whom go on to create big businesses. There is more creative freedom for people who are exposed to entrepreneurship. There is higher self-esteem, and an overall greater sense of control over the people's own lives. The importance of entrepreneurship to any economy is like that of entrepreneurship in any community: entrepreneurship activity and the resultant financial gain are always of benefit to a country.

The process of translating an idea or invention into a good or service that creates value or for which customers will pay. To be called an innovation, an idea must be replicable at an economical cost and must satisfy a specific need.

Innovation involves deliberate application of information, imagination and initiative in deriving greater or different values from resources, and includes all processes by which new ideas are generated and converted into useful products. In business, innovation often results when ideas are applied by the company in order to further satisfy the needs and expectations of the customers. The entrepreneur finds an opportunity and uses innovation to raise the productivity level.

This means an entrepreneur is one who shifts economic resources from lower productivity to higher productivity. As an entrepreneurial network, we need to respect original ideas, business processes, market concepts and so on. In the opinion of Chris Ducker, "If we don't, we leave ourselves wide open to being spanked ourselves – probably when we're doing well, and it's really going to sting!"

If you're running an online business, creating mobile apps or selling informational products via your blog, being seen as an innovative person will help you immensely to develop satisfaction and joy within yourself that you have fulfilled an accomplishment in your business.

If you own a fashion designing shop, then you might not have to be SEEN as an innovative person, but if you can inject a certain amount of innovation into the way you market and promote your business in the local community, not only will you get more business, but you'll also be respected as a local entrepreneur. It is truism that there will be people who will imitate and duplicate your original works but that should not stop you from being innovative as you will later gain the reward of hard work and the imitators will be the losers. Continue to do the right thing, promote your market, sell and look after your customers in the right direction. In a social context, innovation helps create new methods for alliance creation, joint venturing, flexible work hours, and creation of buyers' purchasing power. Innovations are divided into two broad categories.

Evolutionary innovations (continuous or dynamic evolutionary innovation) that are brought about by many incremental advances in technology or processes and revolutionary innovations (also called discontinuous innovations) which are often disruptive and new. Innovation is synonymous with risk-taking and organizations that create revolutionary products or technologies take on the greatest risk because they create new markets. Imitators take less risk because they will start with an innovator's product and take a more effective approach. Examples are IBM with its PC against Apple Computer, Compaq with its cheaper PC's against IBM, and Dell with its still-cheaper clones against Compaq.

Business Innovation: This is the creation of new value and wealth for stakeholders to increase economic prospects (Lorente et al., 1999; Miller, 1995). Business innovation is the creation of substantial new value for customers and the company by creatively changing one or more dimensions of the business system (Sawhney et al., 2006). In other words, business innovation is the creation and adoption of something new that generates business value. This includes new products, services, or processes, such as integrated supply chain solutions (Sawhney et al., 2006).

QUALITIES OF ENTREPRENEURS

Entrepreneurs are people who start their own business. They're known for embracing risk, having big ideas, and making major innovations that change how others do business. While anyone who starts a business has a bit of the entrepreneurial spirit, true entrepreneurs are distinguished by a certain visionary quality. Entrepreneurship is the basic key for business growth, most business today grew out of the effort of one man with passion, the effort of one man who wants to make profit and who wants to innovate or create a new product. The quality of performance of the entrepreneur determines whether capital would grow rapidly or slowly and whether the growth involves innovation where new products and production techniques are developed. The difference in economic growth rates of countries of the world is largely due to the quality of entrepreneurs in those countries. Production factors of land, labour and capital are said to be dormant or indolent without the entrepreneur who organizes them for productive ventures (Ebiringa, 2012).

Gallup studied more than 1,000 entrepreneurs to arrive at a short list of the 10 qualities of highly successful entrepreneurs.

1. Business Focus: They base decisions on the potential to turn a profit.

2. Confidence: They know themselves well and can read others.

3. Creative Thinker: They know how to turn an existing product or idea into something even better.

4. Delegator: They don't try to do it all.

5. Determination: They battle their way through difficult obstacles.

6. Independent: They will do whatever it takes to succeed in the business.

7. Knowledge-Seeker: They constantly hunt down information that will help them keep the business growing.

8. Promoter: They do the best job as spokesperson for the business.

9. Relationship-Builder: They have high social intelligence and an ability to build relationships that aid their firm's growth.

10. Risk-Taker: They have good instincts when it comes to managing high-risk situations.

Gallup's conclusion is that entrepreneurs with a natural gift for things like opportunity spotting will find it easiest to succeed but that others can compensate somewhat for a lack of inborn talent through efforts like working with coaches and getting technical assistance. And, of course, factors like skills and experience also play a role in entrepreneurial success.

10 Characteristics of a Highly Successful Entrepreneur (Tyrone Holmes, 2016)

1. A Positive Mental Attitude

You will never be a successful entrepreneur without a positive attitude because you are certain to experience difficult times. Your success or failure will be determined at these times.

2. Enjoy Being Around People

Being a successful entrepreneur means you will continuously interact with a diverse array of people such as customers, potential customers, colleagues, competitors, suppliers, lawyers, accountants and coaches. It really helps if you enjoy being around these people.

3. Excellent Communication Skills

Exemplary communication is important because you must accurately exchange information in a fast-moving world using a variety of methods (e.g., interpersonal, electronic). Of particular importance is the ability to listen and truly understand where another person is coming from, especially if you want to be a successful athletic coach.

4. A Strong Desire to Achieve

Successful entrepreneurs are achievement-oriented. They value accomplishment and the intrinsic rewards that go along with achieving difficult goals. It is a strong motivator for most business owners.

5. Resourcefulness

Most athletic coaching businesses have limited resources such as money, information and time. Successful entrepreneurs figure out how to get the most out of these resources. They are masters at stretching a dollar and making a few resources go a long way.

6. Objective

It is not easy to be objective about your business because you are passionate about making it successful. However, you do need to be impartial and dispassionate when it comes to making business decisions because emotion, bias and sentiment can result in poor choices.

7. Committed

Building a successful athletic coaching business requires absolute commitment. It takes a lot of work and there will be times when you become discouraged. It is during these times that you must be steadfast, faithful and committed to your vision.

8. Dependable

There is a strong positive relationship between your perceived level of reliability and the success of your athletic coaching business. Your clients expect you to be dependable and will evaluate you on the extent to which you do what you say you will do.

9. Proactive and Not Reactive

Successful entrepreneurs anticipate problems in advance and deal with them before they occur. If you simply react to problems and issues as they arise, you may get overwhelmed.

10. Possess Technical Skills and Knowledge

These 10 characteristics are the foundation of a successful entrepreneur. Take the time to understand how these characteristics build on each other, and where your strengths and weaknesses lie

CONCLUSION

Entrepreneurship is "at the heart of national advantage" (Porter, 1990). Concerning the role of entrepreneurship in stimulating economic growth, many links have been discussed. It is of the utmost importance in carrying out innovations and enhancing rivalry.

In Nigeria, like some other economies, the government helps to encourage entrepreneurship development (Ebiringa, 2012). The entrepreneur is therefore an important agent of innovation growth and technical progress. The development and utilization of their technical and commercial skills create growth potential in micro, small and medium business enterprises. The present day global economy is knowledge-driven operating on the pragmatic and innovative thoughts of the entrepreneur. Business set ups have become informal and oriented towards survival and self employment. Entrepreneurship contributes in an immeasurable ways toward creating new job, wealth creation, poverty reduction, and income generating for both government and individuals. Constant technological break-through compels companies to become more entrepreneurial in identifying and exploring new ideas.

References

Abubakar, S. G. (2010). Refocusing Education System towards Entrepreneurship Development in Nigeria: a Tool for Poverty Eradication. *European Journal of Social Sciences.* 15 (1): 140-150.

Adejumo, G. (2001). Indigenous Entrepreneurship Development in Nigeria: Characteristics, Problems and Prospects. *Advances in Management*: *Journal of Department of Business Administration, University of Ilorin, Ilorin Nigeria, 2(1): 112-122.*

Agbonifoh B.A, Ehiametalor E.T, Inegbenebor A.U and Iyayi F.I (1999). *The Business Enterprise in Nigeria.* Lagos: Longman Nigeria Plc.

Ebiringa, T. (2012). Perspectives: Entrepreneurship Development and Growth of Enterprises in Nigeria. *Entrepreneurial Practice Review.* 2(2):31-35

Egelhoff, T. (2005). Entrepreneurs: Have you got what it takes? www.smalltownmarketing.com/enterprenuership.html

Hisrich, R.D and Peters, M.P (2002). Entrepreneurship. New York. Mcgraw-Hill Companies. Inc.

Ogundele, O.J.K (2007), Introduction to Entrepreneurship Development, Corporate Governance and Small Business Management. Lagos. Molofin Nominees.

Porter, M. E. 1990. *The Competitive Advantage of Nations*. New York: Free Press.

Sagagi, M.S. (2005). Entrepreneurship Development Policy: A Renewed Perspective for Achieving Economic Development in Nigeria. *Being a paper presented at the Inaugural National Conference organized by the Academy of Management Nigeria* from Nov. 22-23, 2005 at Rockview Hotel, Abuja

INTERNET SEARCH

What is Business Innovation: www.zapmeta.ng/what+Is+Business+Innovation. 7/6/2017

Gallup: The 10 Qualities of Highly Successful Entrepreneurs – Forbes. http://www.forbes.com/sites/elainepofelelt/2014/05/31/gallup-the-10-qualities. 7/6/2014

10 Characteristics of a Highly Successful Entrepreneur. https://www:training peaks.com/10-characteristics-of-a-highly-success. 7/6/2017

The 17 skills required so succeed as an Entrepreneur. https://www.entrepreneur.com/article/242327. Feb. 2015. 7/6/2017

The Top Skills Every Entrepreneurs Needs - Forbes. http://www.forbes.com/sites/aileron/2013/11/26/the-top-skills-every-entrepre 7/6/2017

List of Skills Entrepreneurs Need – The Balance. https://www.thebalance.com/list-of-skills-entrepreneurs-need-2062391. Alison Doyle . 7/6/2017

The Importance of Innovation in Business and Why You Need to Get Busy – NOW!
ChrisDucker.com 7/6//2017

DRAFT

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 5

LECTURE 5: TOPIC: ENTRREPRENEURSHIP OUTFIT (Forms of business, staffing, marketing and new opportunities)

OUTLINE
Introduction
Entrepreneurship outfit (Forms of business)
Staffing
Marketing
New opportunities
Conclusion

The aim of this lesson note five is to explain the above outline.

Objectives

On the completion of this lesson note five, students will understand entrepreneurship outfit, method of staffing, marketing and identifying new opportunities. This will help the students in the following ways:

- To understand different entrepreneurship outfit
- To know method of entrepreneurship staffing
- To have an insight about marketing techniques used by entrepreneurs
- To understand how new opportunities can be identified.

INTRODUCTION

In the opinion of Pride, Hughes and Kapoor (2002), Business is the organized effort of individuals to produce and sell, for a profit, the goods and services that satisfy society's needs. Four kinds of resources are needed to organize a business: Material, Human, Financial and Informational. Material resources include raw materials used in manufacturing processes as well as buildings and machinery. Human resources are the people who furnish their labor to the business in return for wages. The financial resource is the money required to pay employees, purchase materials and generally keep the business operating while Information is the resource that tells the managers of the business how effectively the other resources are being combined and used.

Businesses are usually classified as one of three specific types Pride et al (2002): Manufacturing (producing), Service Businesses (developing) and Marketing intermediaries (distributing). Manufacturing businesses are organized to process various materials into tangible goods. Service businesses produce services such as haircuts, legal advice etc. And some firms called Marketing Intermediaries are organized to buy products from manufacturers and then resell them. Consumers are individuals who purchase goods or services for their own personal use.

In Nigeria form of businesses are categorized as:

(i) Proprietorships or sole trader

(ii) Partnerships

(iii) Incorporated companies or corporations that can be :

(a) Unlimited liability company (b) Company limited by guarantee limited liability company (c). Company limited by shares

However, for the purpose of this lecture on Entrepreneurship Outfit, the focus is on the businesses that are conducted by entrepreneurial organizations in form of small businesses that are easy to start up with little capital whether on part time or full time bases.

An entrepreneur can be described as a unique person with business ideas that can be developed with little amount and expand to become large business with calculated risk involved.

There are businesses that could be learned and start up within a shortest period, such as indicated below, please note that you can suggest more businesses in addition to this list.

1	Tailoring/Fashion designing	11	Crafts making e.g gift baskets, cane chairs	21	Crop farmings
2	Make-up Artist	12	Desk top publishing	22	Catering services/Restaurants
3	Brick making	13	Freelance sports coach e.g private coaching for children such as: table tennis, basket ball, football etc.	23	Bead/Jewelry making
4	Computer repairs	14	Home appliances repairs e.g dryers, washers, microwaves, oven, fridges/freezers etc	24	Part time teacher e.g Maths, Sciences, music etc

5	Event Planning	15	Weddings Planning	25	Carpentry/furniture making
6	Used Books sales	16	Small engine repairs e.g generators, motorcycles etc	26	Personal chef (cooking for individuals e.g weekends)
7	Shoe making/Cobbler	17	Hair stylist (barbing and hairdressing salon)	27	Free marketing of products (personal selling)
8	Bicycle repairs	18	Day care from your own house	28	Property/Estate management
9	Rug/dress cleaner	19	Photography (sell images as professional, frames etc)	29	Business centre (typing, photocopying etc)
10	Interior decorations	20	Farming (Poultry, fisheries etc)	30	Mini retail shops etc.

Any of these businesses do not require lots of money as this can be done in order to earn additional income or on full time basis. Think about your area of interest and you will see an opportunity to develop yourself as an entrepreneur.

STAFFING

Staffing involves recruiting, hiring and training the most appropriate people to represent your business. Beyond hiring, effective staffing involves assessing work environment needs, scheduling, training and providing constructive criticism and feedback. The main objective of staffing is to ensure you have an adequately trained workforce that can help you operate and grow your small business.

Needs Assessment: An objective of staffing is to be effective in determining the specific manpower needs of the business. Staffing managers are responsible for continually assessing the employment needs of the business as it changes.

Hiring and Job Placement: Staffing begins during the recruitment process. Detailed job descriptions are created in advance of recruitment to attract the best-qualified candidates. You should have a firm idea of your staffing needs based on the size and scope of your operations. Under-hiring can result in inefficient service levels, while overstaffing is a waste of financial resources.

Training and Assimilation: Effective staffing involves a full-spectrum introduction to a business's corporate culture. This includes skills training as well as education regarding a company's policies and procedures. Adding new staff members to an existing employee pool should include peer training and mentoring.

Efficient Workforce Development: When employees are hired and appropriately trained, an objective of staffing is to pair the right employees with the right job responsibilities. This involves assessing individual skills, talents and experience levels. Ongoing training is a necessary staffing objective required for ongoing employee development and efficient workplace productivity.

Effective Business Operations: An objective of staffing is to ensure effective business operations. Employees should be provided with professional enrichment opportunities. Job mentoring and job shadowing can encourage employees to learn more about the industry and increase their ability to contribute to the health of the organization.

Workforce Longevity: Developing an effective staffing system can help your small business retain employees over the long term, which can be a positive aspect of developing and nurturing a skilled, seasoned workforce. The objective of this approach is to provide employees with opportunities for advancement and increased earning potential. Motivation, employee incentive programs and morale boosters all play a role in supporting long-term employment.

Staffing Challenges for Entrepreneurs

Entrepreneurship has many challenges but also many rewards. For start-ups and small businesses, staffing presents several obstacles that must be overcome. When dealing with rapid growth or limited working capital, creativity is the key to successful staffing. Jillian Peterson (2007) suggested the following ways in which staffing challenges can be overcome:

Recruiting: Recruiting key players is a challenge for many entrepreneurs, who often have to compete with large, established firms for top talent. If profits allow, executive recruiters can be a viable option for sourcing the best and brightest potential new employees. For those on a budget, networking in person and social networking sites can be a great asset. If your needs are short-term, consider enlisting the help of a temporary staffing agency. Specialized staffing agencies can be found that offer everything from unskilled labor to highly skilled professionals, making short-term staffing more manageable.

Retention: A common challenge faced by entrepreneurs is the retention of top talent. Often, start-ups and small business owners take gambles on young or unseasoned employees with great results. However, once those employees become successful, they often are targeted by recruiters and competing companies who offer benefits and salaries smaller businesses struggle to match. Fostering a sense of ownership among employees and adjusting the company's management in a way that rewards accomplishments can help overcome turnover issues.

Payroll: Payroll can be a stressful element of running a business. The need for additional employees is often at odds with the lack of funding for payroll. Many entrepreneurs try to handle payroll processing internally, which can save money but can also cause costly mistakes such as under or over remittances of taxes to the authority.

Staffing Function of Management

There are certain things that you need for your business to succeed and the first among that list in all kinds of businesses is human capital or human resources. A business cannot be isolated from its workforce. This is because of the fact that the workforce of the business is its life force. Thus it becomes imperative that a business has the right amount and right kind of people working in it.

This requirement of a business is met by a simple yet intricate function known as Staffing. It involves the process of filling up the various positions in the organisational structure with the right kind of people who are skilled and competent to discharge the duties the position carries and implies. It is a multi step process that commences with determining the number and type of people you want in the

workforce (workforce planning), recruiting, selecting, training and developing, promoting, compensating, and appraising the performance of the workforce.

The managerial function of staffing is, managing the organization manpower by means of suitable and active choice, assessment and progression of the employees who fill the desired roles and positions. According to Theo Haimann, "Staffing pertains to recruitment, selection, development and compensation of subordinates."

Features of Staffing Function

Critical managerial function – Staffing function is amongst the most critical managerial function along with planning, organizing, directing and controlling. The success of all these managerial functions depends on the workforce which is organized by staffing function.

Recurring activity – Staffing function is the responsibility of all the managers working in all capacities and in all departments of the business.

Continuous function – Starting with recruitment to training and development to managing employee expectations to important transfers and promotions, staffing continues throughout the lifecycle and is thus a continued function.

Based on efficient management of personnel – Human resources are managed through a system of staffing functions, which should be fair, dynamic and efficient in order to sustain in the long-term.

Hiring right people – This is done through rigorous recruitment process and selecting the most appropriate candidate for the suitable job positions. Also, promotions should be well thought through and in the direction of long-term vision of the organization.

Importance of Staffing Function

W**orkforce is Life Force:** Without the requisite human involvement working in a motivated fashion for the betterment and benefit of the business organisation, the business will always be far from success.

Ensures Competency and Efficiency: Staffing as a process is not just about finding a person for the job, it is about finding the right person for the job. Staffing involves identifying competent and skilled people who will be able to fit directly into the position and perform the functions it entails in an efficient and successful manner.

Optimum Utilization of Resources: Resources are scarce in today's world and all the resources including human resources need to be optimally utilized. Staffing as a process ensures that only the right amounts of people are staffed in the business and are functioning in it. This allows for clearing a huge amount of money being wasted on unnecessary employees and also provides such employees the opportunity to fare better in other businesses or initiatives that actually need their services.

Training and Development of Employees: Staffing is also not just about finding the right person and putting him in a position, but is also about helping him through the process of training and development to adapt to the changing needs and requirements of that position. Staffing involves preparing for the future as well as allowing for the achievement of business goals now.

Motivation: The training provided by the business helps in boosting the confidence level of the employees and is usually provided in order to teach them efficient ways of discharging their functions.

Improves Employee Satisfaction and Morale: The process of staffing also involves appraising the work done by the employees and rewarding the employees for their hard work. Such appreciation of the work so performed by the employees apart from being an important source of motivation also plays huge role in satisfying them and boosting their morale. This helps to stop unnecessary labour turnover.

Steps Involved in Staffing Function of Management

Following is a brief discussion over important steps of staffing:

Manpower Planning: Manpower planning or in simple terms estimation of workforce requirement is the first step in the process of staffing. This steps involves outlining the various positions of the organisation and determining what category of people will be suitable for it.

Recruiting: Once the positions are determined and the qualifications outlined there arises the need to identify people meeting the conditions. This is done through a process known as recruiting.

Selection: Selection is a process that comes either prior to recruiting or not at all. Recruiting nowadays is a combination of selection and recruiting. Selection as a distinct process involves sifting through the recruits to understand who can do the job better. The steps involved could be practical tests, interviews, theory tests etc, all depending on the time, convenience and policy of a company.

Workforce Orientation: Workforce orientation is a process by which a new employee recently selected is made familiar to a work place. Being a new employee he/she might be unaware of the company's policies, objectives, rules etc and will require time getting familiar to. This is hastened by giving orientations to make the employee to step into his position comfortably and with complete commitment and awareness.

Training and Development: Training and Development are two different concepts. Training is more concerned with making the employee better at what he does now. For instance helping an accountant to be a better accountant. However development is concerned with improving the faculties and abilities of the employee in such a manner so as to allow him to discharge more complicated functions in the future. For instance, it would be helping a branch accountant to be the regional chief accountant.

Performance Appraisal: Mere employment and training of employees is not the end of staffing function it also involves the function of appraising the level of performance of each employee.

Compensation: An employee will not work for nothing but needs to be compensated for the work and effort he puts into the company. The total amount and nature of compensation depends upon the nature of the work and the position of the employee. Compensation may also include bonuses and the like depending upon the performance of the employee.

Promotion: Promotion is the elevation of rank and status of an employee. It is distinct from the mere change of position of an employee and requires the two mentioned elements. Staffing is also concerned with promotions as it is to be done in context to the entire organisational structure of employees. Promotions are granted to people who show promise and are committed and even though a constituent element of the broader functioning of staffing has a huge role to play in the company's success.

ENTREPRENEURIAL MARKETING

Entrepreneurial marketing is less about a single marketing strategy and more about a marketing spirit that differentiates itself from traditional marketing practices. It eschews many of the fundamental principles of marketing because they are typically designed for large, well established firms. Entrepreneurial marketing utilizes a toolkit of new and unorthodox marketing practices to help emerging firms gain a foothold in crowded markets.

In competitive markets, it can be easy to get lost in the crowd. One of the biggest challenges for entrepreneurs is standing out from their competitors. Marketing in new, unusual, or aggressive ways is the best way to illustrate what makes a business unique. Below are some marketing strategies that entrepreneurs have used successfully in the past. A company can direct all of its marketing efforts towards one strategy, or use several of them at once.

- **Relationship Marketing –** Focuses on creating a strong link between the brand and the customer.
- **Expeditionary Marketing –** Involves creating markets and developing innovative products. Companies act as leaders rather than followers.
- **One to One Marketing -** Customers are marketed to as individuals. All marketing efforts are personalized.
- **Real Time Marketing –** Uses the power of technology to interact with a customer in a real time.
- **Viral Marketing –** Places marketing messages on the Internet so they can be shared and expanded on by customers.
- **Digital Marketing –** Leverages the power of Internet tools like email and social networking to support marketing efforts

Many entrepreneurial marketing strategies are born out of necessity. New businesses might have 10, five, or just one person working on their marketing efforts. They work within limited budgets and have access to a fraction of the resources that their major competitors have. Luxuries like graphic design teams and advertising consultants are often outside the means of start-ups, requiring them to find ways to make the maximum impact with limited resources.

The most common features of entrepreneurial marketing include innovation, risk taking, and being proactive. Entrepreneurial marketing campaigns try to highlight the company's greatest strengths while emphasizing their value to the customer. Focusing on innovative products or exemplary customer service is a way to stand out from competitors.

Entrepreneurial marketing is best defined by the types of companies that use it. The easiest way to identify an entrepreneurial marketing effort is to look at the company doing the marketing. Start ups and emerging companies use entrepreneurial marketing to help establish themselves in emerging industries.

It is important to distinguish these businesses from small businesses. While they do start small, their goal is to grow rapidly and to become major players in their industry as quickly as possible. This is drastically different from a restaurant or machine shop that may be content to stay small forever.

The marketing strategies used by emerging business are not unique to them though. In fact, many major companies use some of the same strategies. Major businesses use these strategies out of opportunity while entrepreneurs use them out of necessity.

Zappos.com, an Internet shoe store, was able to popularize online shoe shopping by offering free, easy returns. By highlighting this innovative service in their marketing, they were able to reassure customers who were unsure about buying shoes they could not try on. They now sell millions of dollars worth of shoes every year.

In 1984, a college student named Michael Dell decided to found a computer company. Today it is one of the largest and best known computer companies in the world. Below are some of the steps that Dell took in its earliest stages to get noticed in the computer market.

- **Define your customers –** Dell realized early that there was a hole in the market for customized business computers. Their first products were marketed to large and midsized companies looking to purchase many computers at once. It was only in the late 90s that they began to focus on personal computers for students and families.
- **Offer something new –** In the early 80s, computers were bought and sold primarily through retail stores. Dell took the then radical step of selling directly to consumers, cutting out the retail middle man. This made it easy for business customers to place large orders and to customize each computer they purchased.
- **Go to where the customers are –** Dell marketed at electronics trade shows, in trade magazines, and in other avenues that corporate technology officers would follow. Advertising messages highlighted the ways that Dell computers were optimized for business customers.
- **Offer exceptional services –** Dell offered 24 hour technical support to all of its customers. This was a valuable service to customers who were only beginning to integrate computers into their businesses.

Marketing plans can only develop after a company determines several aspects about their business model. They must understand the core mission of the company, which customers they will target, and who their competitors are. Making a careful self-analysis can help emerging businesses define their place in the market and set realistic goals. The type of business a start-up strives to be will also affect its marketing decisions.

The details of the plan will depend largely on the particular marketing strategy that a company chooses. It is important to define which type of marketing to focus on, and then concentrate all efforts in that area. A comprehensive marketing plan helps companies to maintain this focus as they revise their strategies. Most marketing plans do not cover more than a year's worth of time because start-ups face such uncertain circumstance, requiring businesses to be flexible and open to quick changes.

Entrepreneurial marketing plans are based on input from every aspect of the company -- from production, to finance, to personnel. In order to succeed, start-ups should work in a coordinated way to use their resources as efficiently as possible. Marketing decisions must reflect the real world circumstances facing the company.

Metrics used to evaluate the marketing plan should reflect the goals of the company. These goals can range from maximizing profits, to reaching the broadest customer base, to redefining a particular market. Each goal will require a different marketing strategy and be evaluated on different terms.

Emerging companies have to set quantitative targets for themselves and then revise their strategies if those targets are not met. Otherwise, growth is impossible.

Seven Content Marketing Tips for New Entrepreneurs (Mike Wood, 2016):

1. Create a company blog: To have a constant stream of content is to develop a company which involves your ability to think creatively about what can be a blog post**.**

2. Use the right tools from the start suited for your business.

3. Quality content leads to better engagement: Storytelling marketing is one of the best techniques you can use to keep people's attention. It also helps with the overall quality of your articles, and it leads to more shares and engagement.

4. When you can't create, repurpose: For every piece of content you create, think about ways you can re-use what you've already developed in a new way to make your content creation efforts easier in the future.

5. Find the right platform and influencers: Where you post your content is important. It is also important who interacts with your content. These are things that people research before they do business with you. People want to know who trusts you, who endorses you and who is willing to promote you.

6. Start everything with cornerstone content: Cornerstone content is a single piece of content that you can build all future content from. It can consist of a landing page, white paper or anything similar. It can also help keep you from becoming overwhelmed.

7. Use rich images and videos in your content: Images and videos can help hold readers' attention and help convey your message. Use high resolution product images, or embed a beneficial video for users to view. Any type of multimedia addition to your content will help users stay interested and increase your overall content quality.

OPPORTUNITY

The American Heritage Dictionary (1982), defines Opportunity as; "A chance for progress or advancement".

Opportunity is, "A favorable or advantageous combination of circumstances; suitable occasion or time."

Going by these definitions, opportunity is not what an entrepreneur can sit down and achieve without taking a risk in order to advance in his business. The success in opportunity comes as a result of combinations of creativity, positive thinking, innovative ideas, being at the right place at the right time and involving all the needed resources (human, materials, money, machines, methods etc) to accomplish your objectives.

How to Recognize Opportunity When It Knocks (Edie Raether, 2012)

Opportunity is something that involves the ways in which we see the world around us in different perception. While some people believe in luck that works for them to achieve their objectives in life others believe in hardwork. According to Edie Raether (2012), luck is not random at all, but a time when preparation and opportunity come together. Although opportunity is often a result of what we create, we must first recognize it to tap into it. To recognize opportunity one must be a possibility thinker and also have the ability to predict patterns and trends. Crisis is opportunity in disguise, but only for those who define it as such. An entrepreneur must be able to scan the environment and search for raw materials and other resources necessary for growth and development of his business.

A unique entrepreneur must be visionary and positive thinking in order to achieve his objectives. Opportunities come with risks and that is why entrepreneurs must not jump into a business without calculating his risks through creativity and innovativeness not promises. Opportunity comes with the chance to make progress toward a stated goal. Possibilities are only opportunities if they push you gently down the path toward your committed goals and desires. You must sort out and be selective. You either get busy living, or you get busy dying. Some degree of skepticism can be a virtue if it brings balance to your decision making. According to Edie Raether (2012), Ask yourself:

- **What gives my life meaning?**
- **What makes me happy?**
- **How do I choose to serve and make a difference?**

Sometimes opportunity whispers softly in our ear, but we have to listen. Other times it's a loud crash such as a disastrous, life-changing event, and we have to take action. Opportunity is not a passive, but an action verb that only you can exercise. Waiting for opportunity is like waiting for the sun to shine on a cloudy day. Opportunities stop only when we stop thinking. Frequently, people have messed up potential opportunities because of not understanding how good decisions are made. Capitalizing on opportunity requires a strategic plan, but also on the ability to execute positive action at the right time. Although you may be clear on your goals, without knowing the obstacles and possible problems, you could waste your life's savings on a dream that ends up as a nightmare. By identifying and then removing the obstacles, solutions are clear and thus your problems can be solved.

Ways to Recognize a Great Opportunity: Do you wait until opportunity knocks, or are you constantly looking for the next break? Either way, traditionally, the fact you seek opportunity has a somewhat negative connotation. In the former scenario, you could be seen as passive and not hungry enough for results, and in the second, you might be seen a ruthless opportunist always on the look-out for the next opening to exploit.

When vision meets opportunity:

Christina Lattimer suggested five (5) characteristics of an opportunity you should seize:

1. It furthers your vision: If you have a vision, you must be prepared to take opportunities which further your vision. Your plan isn't always going to materialize in quite the way you expect. You must be open to opportunities that come along, and more importantly, be prepared to seize them when they do.

2. It helps you grow in trust and patience: Opportunities that help you to grow your business or meet your vision aren't always obvious. You have to develop a level of patience and trust, and open-

mindedness which can often take practice. To develop patience and trust in business is key to weathering the uncertainty experienced, certainly in the early years.

3. It doesn't always look like you imagined: The opportunities that come your way may look nothing like you had originally imagined, or considered. Keeping an open mind is essential and pausing and considering before you say no is imperative.

4. It's a result of patience and trust: You've heard the saying, "Where there's a will, there's a way." Patience and trust are some of the hardest characteristics to develop. But if you believe there is a way, and it's coming to you, then you have to develop patience and trust to sit in that uncomfortable place of waiting. If you close down the possibility because you currently can't see the way forward, then you simply haven't developed these traits quite yet.

5. It's a win/win opportunity: This was not an opportunity that cost anyone anything. Everyone came out as a winner in the process. If you take an opportunity that you know is to the detriment to another, then you are on the wrong track. A successful opportunist will not act in a way that deliberately hurts someone else along the way.

You have to take opportunities if you are going to be successful in life and in business. In this new era of ethics and transparency, the most successful people will choose the opportunities that will empower, rather than detract from, themselves and others.

REFERENCES

Pride, W.M, Hughes R.J, and Kapoor, J.R (2002). BUSINESS. New York. Houghton Mifflin Company.

http://yourbusiness.azcentral.com/objectives-staffing-8337.html **Staffing** involves recruiting, hiring and training the most appropriate people to represent your business. Beyond hiring, effective **staffing** involves assessing work ...

http://yourbusiness.azcentral.com/staffing-challenges-entrepreneurs-9451.html

How to Start a **Staffing** Services Business - **Entrepreneur**.com

https://www.entrepreneur.com/article/37932 Feb 21, 2001 **...** This is a good time to be in the **staffing** industry. Despite the 2000-2002 economic downturn, the industry is picking up steam again, and future ...

 Features, Importance and **Steps Involved in Staffing** Function of ...

http://www.managementstudyhq.com/features-importance-steps-involved-staffing-function-management.html The managerial function of **staffing** is managing the organization manpower by means of suitable and active choice, assessment and progression of the ...

Entrepreneurial Marketing | What is **Entrepreneurial Marketing**?

http://www.marketing-schools.org/types-of-marketing/entrepreneurial-marketing.html The primary challenge facing the **entrepreneur** is competing against larger, better known, and more resourceful companies. How can a start up with a small staff, ...

Staffing Function of Management - Management Study Guide

http://www.managementstudyguide.com/staffing-function.htm The managerial function of **staffing** involves manning the organization structure through proper and effective selection, appraisal and development of the ...

A **Staffing Entrepreneur** Shares Her Most Valuable Lessons Learned...

https://business.linkedin.com/talent-solutions/blog/2015/05/a-staffing-entreprenuer-shares-her-most-valuable-lessons-learned May 11, 2015 **...** Thinking about starting your own **staffing** agency? If so, the best lessons worth learning are from leaders who have taken the leap—like Robin...

Entrepreneurial Recruiting: Staying Competitive When **Staffing** Top...

http://www.forbes.com/sites/kensundheim/2013/04/04/entrepreneurial-recruiting-staying-competitive-when-staffing-top-talent/ Apr 4, 2013 **...** A firm's biggest asset is the people behind their product or service. Great employees are the foundation of a competitive organization and the ...

What is **staffing**? definition and meaning - BusinessDictionary.com

http://www.businessdictionary.com/definition/staffing.html Definition of **staffing**: The selection and training of individuals for specific job ... One of the biggest challenges that an **entrepreneur** faces is the management of ...

The relationship between **entrepreneurship** and **marketing** in ...

http://www.sciencedirect.com/science/article/pii/0883902687900127 This article examines the relationship between **entrepreneurial** and **marketing** orientations of a firm. It is hypothesized that more **entrepreneurial** firms will also be ...

Marketing for **Entrepreneurship** - Tepper School of Business

http://tepper.cmu.edu/prospective-students/course-page/45908/marketing-for-entrepreneurship The differences between **marketing** for start-up and early-stage **entrepreneurial** firms and traditional large businesses are: 1) no or limited **marketing** budgets to ...

Entrepreneurial Marketing | Kauffman **Entrepreneurs**

https://www.entrepreneurship.org/learning-paths/entrepreneurial-marketing Drawing on her experience with companies, Anita Newton provides a framework for you to use in building **marketing** strategies and execution plans.

The Interface between **Marketing** and **Entrepreneurship**

http://www.inderscience.com/info/ingeneral/cfp.php?id=716 **Entrepreneurial marketing** is a term which is receiving increasing use. It essentially encompasses two very distinct areas of management: **marketing** and ...

Entrepreneurial Marketing | What is **Entrepreneurial Marketing**?

http://www.marketing-schools.org/types-of-marketing/entrepreneurial-marketing.html The primary challenge facing the **entrepreneur** is competing against larger, better known, and more resourceful companies. How can a start up with a small staff, ...

7 Content **Marketing** Tips for New **Entrepreneurs**

https://www.entrepreneur.com/article/279230 Jul 27, 2016 **...** After receiving more than 250 survey responses, these are the seven best tips for **entrepreneurs** new to content **marketing**.

pmeta.ng/**Forms**+Of+**Businesses**

DRAFT

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LECTURE 6:

Making a Business Plan and Feasibility Studies.

OUTLINE:

Defining Feasibility Study and stating Major features of Feasibility Study

Reasons to do a Feasibility Study

5 Areas of Project Feasibility

Writing a Business Plan

A business plan serves three major functions, which include:

Format of a Business Plan

Feasibility Study vs. Business Plan

The aim of this lesson note six is to explain the above outline.

Objectives

On the completion of this lesson note six, students are expected to understand feasibility study and reasons for doing so, know the features and five areas of feasibility study and in addition, understand business plan and its importance and the difference between feasibility study and business plan . This will help the students in the following ways:

- To understand how important feasibility study is to an entrepreneur
- To be familiar with the importance of business plan

- To differentiate between feasibility study and business plan.

FEASIBILITY STUDY

Generally, success of business venture is premised on whether the venture has the tendency to survive and be profitable. Feasibility study is an evaluation & analysis of the potential of a proposed project which is based on extensive investigation research to support and provide necessary mechanism for decision making.

A feasibility study is the analysis of the viability of an idea. It focuses on helping answer the essential question of "should we proceed with the proposed project idea". All activities of the study are directed towards helping answering this question.

According to Onyegbu (1987), feasibility studies help in taking a business management decision on whether to accept, modify, or reject a business project based on the analysis of the project's merits and demerits. This analysis will result into optimal decision through objective and systematic collection, analysis, interpretation, and reporting of the relevant data and information pertaining to that business project in question. Simply put, the method of scientific business research is important in feasibility studies.

Major features of Feasibility Study

Generally, the major features/sections of feasibility study for small business enterprise may include;

1. **The product or service**: This section of a feasibility study deals with the type of service or product the small business enterprise plans to go into.
2. **The market size of product or service**: This section of a feasibility deals with the size of the market the small business enterprise expects to have. The small business organization has to know the number of consumers or clients for its products or services and the number of competitors or other relevant environmental factors in the industry.
3. **The management team**: Also to be ascertained in the feasibility study is the number of people to be involved in the management of small business enterprise, including their qualification, etc.
4. **The production or operations process and plan**: This section of the feasibility study should highlight how the product or service of the small business enterprise will be made, including associated technology processes, purchases, expenses, etc.
5. **The marketing plan**: This section deals with the planned strategies of achieving the amount of sales anticipated, and other marketing strategies and performance measures.
6. **Manpower requirement**: This section concerns the human resource the small business enterprise is going to make use of and their salaries/wages.

7. **Estimated Capital Expenditure**: This section deals with the types of fixed assets, like machinery, furniture, etc. which the small business organization hopes to utilize.
8. **Estimated working capital**: This section states the amount of money to be provided for daily use or operations.
9. **Cash Budget**: This section gives an estimate of how much the small business organization expects to gets as revenue within a year, or any other chosen period and how much it expects to spend. Included, also, is income statement giving the synopsis of income estimates, operating expenses, and other relevant items.
10. **Projected balance sheet**: This section of a feasibility study is the financial report that summaries the estimated assets and liabilities of the small business enterprise.
11. **Profitability analysis and evaluation of the project:** This is the stage of taking critical decision on whether to carry out the venture or not. The following techniques may be useful in this regards.

    i. Break-even analysis

    ii. Determination of payback period.

    iii. Determination of annual rate of return.

Reasons to do a Feasibility Study

- To assess probability of business success
- Gives focus to the project and outline alternative
- Narrows business alternatives
- Identifies new opportunities through the investigative process
- Identifies reasons not to proceed
- Enhances the probability of success by addressing and mitigating factors early on that could affect the project.
- Provides quality information for decision making
- Provides documentation that the business venture was thoroughly investigated
- Helps in securing funding from lending institutions and other monetary sources.
- Helps to attract equity investment

5 Areas of Project Feasibility

1. **Technical feasibility** – Evaluation of the hardware and software requirements of the proposed system. Whether technical resources meets capacity. Whether the technical team is capable of converting the ideas into walking systems.
2. **Economic Feasibility** – viability, cost, and benefits associated with projects before financial resources are allocated.
3. **Legal Feasibility** – Investigate if the proposed venture conflicts with legal requirements like NAFDAC law, SONS etc.
4. **Operational Feasibility** – Guide design and development. Such as reliability, maintainability, supportability, usability, disposability, sustainability, affordability and others.
5. **Scheduling Feasibility** – How much time the project/venture will take to complete using various methods of estimation.

BUSINESS PLAN

A business related activity cannot achieve long term profitability, survival and growth if a better business plan is not in place that will show and meaningfully describe a direction in which an entrepreneur should follow. The adequacy, relevance and soundness of an entrepreneur's business plan can make the difference between a successful company and an unsuccessful one. It should be noted that it nearly impossible for a business entrepreneur to foresee everything that will happen to his company via his business plan. Additionally, no business plan provides an absolute roadmap to success in any business concern. Therefore, the entrepreneur should be prepared to revise his business plan as the relevant conditions facing his company change and as more accurate data and information become available. Generally, a business plan shows the firm's purpose, philosophy, plan of action, expected challenges and the route to future success, growth and development (Turlais, 1999). Therefore, a small business plan should be flexible enough to accommodate some pertinent business variations. Generally, poor business planning is a major reason for small business failure.

A business plan serves three major functions, which include:

i. A planning tool and technique for the growth of the business concern.
ii. A document to convey relevant information to prospective investors in the business concern.
iii. An index base to measure and monitor the company's performance over time.

According to Burns (1990), a business plan performs the following management functions in a small business enterprise functions:

1. It can assist the entrepreneur crystallize and direct his business ideas.

2. It can help the entrepreneur set goals and objectives, including the associated criteria to measure performance.

3. It can act as a means to attract any form of funding needed for the business

4. It can convince venture capitalist and other investors that the entrepreneur has isolated some beneficial growth business opportunities in all dimensions.

A well-written business plan by a small business enterprise says a lot about the present and likely activities of the small business concern. A business plan should be able to communicate accuracy and credibility of a small business enterprise, in addition to generating enthusiasm in the business. The relevant audience reading the business plan forms a good or bad impression of the company or enterprise with regard to the company's management skills based on the business plan submitted. Therefore, a good business plan should be thorough, professional, relevant, communicative, adequate, flexible, practical and realistic among others.

Gumpet (1997), identifies the reasons small business entrepreneurs should write business plans:

1. For selling the interests of the entrepreneur and other stakeholders to the relevant audience.

2. To obtain bank funding.

3. To obtain investment finance

4. To arrange joint venture agreements (strategic alliances)

5. To obtain substantial business contracts from vendors

6. To attract major human resource/personnel

7. To tidy-up mergers and acquisition deals.

What an entrepreneur need to consider when writing a business plan include but not limited to the following:

- The business plan should be as concise as possible. The relevant audience may not want to read a long-winded document. As a rule of thumb, a business plan should comprise thirty-five single spaced pages at most, excluding the appendices.

- A business plan should be easy to read and comprehend, without typographical or grammatical errors.

- A business plan should inform the relevant audience concerning the large and profitable market opportunities for the business enterprise.

- A business plan should convey the strength and depth of the company's management team, among others.

Format of a Business Plan

According to Burns (1990), any format for a proposed business plan should be seen as providing only general guidance, since every business is unique. As a result, any perceived standardized business plan is substantially inappropriate in most business situations. However, the general basic features. The format of a business plan may be relatively standardized, and typically contains the following major actions;

Cover Page: This contains contract information and a confidentially statement concerning the business plan/document for the document for the business in question.

Table of Contents: This enables readers of the business plan document to quickly find the exact information they are looking for, in terms of pages and sub-titles.

Executive Summary: This explains, briefly, the company's business's prospects, needs, and situation in a capsule form.

Company Description: This contains a background and historical account of the company as well as its future prospects, and other cognate issues.

The product or Service: This explains what is distinct about the products, ideas or services, which the business will deliver.

The market: This creates a picture of the relevant market segment(s) in which the business concern wants to compete.

Marketing: This section of the business plan informs reader of the business plan of how the business entrepreneur plans to capture his company's potential market segment(s) via packaging, pricing, mega marketing, distribution, and advertising policies and strategies, among other strategic marketing process.

Management/Ownership Structure: This section introduces the people holding (or likely to hold) leadership/responsibility positions in the business concern.

Competition: This focuses on strengths and weaknesses of company's competitors.

Financial Statements and Projections: This section of the business plan includes such issues as the company's balance sheets, income statement, cash flow statement, and financial forecasts, among others.

Appendices: This section of the business plan contains resumes of key personnel of the business concern, an organization chart with positions and responsibilities, extended market information and other data to back up the claims made in the business plan.

EXAMPLE 1: A BUSINESS PLAN FOR FAGBOHUN INVESTMENT NIGERIA LTD.

Section 1: Introduction

- Name of the business
- Address of the business
- Ownership
- Product to be offered/supplied
- Nature of the business/mission

Section 2: Management Team

- People required for the business
- Duties and responsibilities
- Monthly annual cost of labour.

Section 3: Marketing Strategy

- Marketing strategy to be used.

- The customer for the product
- Pricing strategy
- Packaging system
- Promotion strategy
- Competitors – weakness and strengths.

Section 4: Production Plan

- Product development
- Production process
- Machinery
- Raw materials.

Section 5: Financial Management Strategy and Issues for the Business

- Source of capital
- Capital outlay and analysis
- Financial and economic plan.

Section 6: Assumption on Environmental Factors

- Internal environment factors
- External environment factors.

Feasibility Study vs. Business Plan

A feasibility study is not a business plan. The separate roles of the feasibility study and the business plan are frequently misunderstood. The feasibility study provides an investigating function. It addresses

the question of "*is this a viable business venture?"* The business plan provides a planning function. The business plan outlines the actions needed to take the proposed from "idea" to "reality".

The feasibility study is conducted before the business plan. A business plan is prepared only after the business venture has been deemed to be feasible. If a proposed business venture is considered to be feasible, a business plan is usually constructed next that provides a "roadmap" of how the business will be created and developed. The business plan provides the "blue print" for project implementation. If the venture is deemed not to be feasible, efforts may be made to correct its deficiencies, other alternatives may be explored, on the idea is dropped.

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 7

LECTURE 7: ENTREPRENEURIAL RELATIONSHIPS AND ETHICS

OUTLINE

Definition of Entrepreneurial Relationships

Definition of Ethics

The aim of this lesson seven is to explain the above outline.

Objectives

On the completion of this lesson seven, students will understand entrepreneurial relationships and ethics. This will help the students in the following ways:

- To know how to relate as an entrepreneur
- The ethical value required of an entrepreneur

Entrepreneurial Relationships

Introduction

No entrepreneurship exists entirely on its own without depending on other businesses in one way or another.

- Generally, for production, there is chain between supplier of raw materials, producer or manufacturer, distributor or middleman, and consumer or customer.
- There are businesses that are useful to all entrepreneurship in general such as:

➢ Postal, courier, and delivery services
➢ Transportation services
➢ Telecommunication and Internet services
➢ Security services
➢ Wastage disposal service
➢ Advertising and promotional agencies
➢ Research and investigational agencies
➢ Banks and financial institutions
➢ Real estate, office and storage rentals

- An entrepreneurship necessarily must register with the government and professional bodies, pay taxes and fees, and follow all due processes therefore there are relationships with various governing and law enforcement institutions and establishments.
- A special relationship may have to be formed with the community or society where the entrepreneurship is located.

Entrepreneurial relationships have economic, political, and social implications.

➢ ECONOMIC IMPLICATIONS OF ENTREPRENEURIAL RELATIONSHIPS include gain and loss of profit outside one's own efforts.
  ✓ A risky transporter, a careless courier, inflated research data, or dubious banking can incur great loss for a manufacturer.
  ✓ A great advertiser, an astute supplier, a good market analyst, or a generous financier can propel a manufacturer into great profit.

The entrepreneur should choose collaborators well. ***Sometimes the nearest, the cheapest, the easiest, and the most available are not the best.***

➢ POLITICAL IMPLICATIONS OF ENTREPRENEURIAL RELATIONSHIPS can have long term effects and entrepreneurs should not be passive about politics and electoral processes. An entrepreneur who cares about a business plan should know about the prevailing or incoming political powers and ideological environment and the possible positive or negative impacts they may have on the entrepreneurial process or profits. Political change may affect such factors as taxations, privatizations, prioritizations, takeovers, and other changes in policies and processes.

- SOCIAL IMPLICATIONS OF ENTREPRENEURIAL RELATIONSHIPS involve the impact of the entrepreneurship on its environment and on the life of the local community.

Entrepreneurships can alter people's heritage by:

- ✓ depletion of natural resources of the environment such as vegetation and animal life
- ✓ change in the appearance of the environment
- ✓ displacement of inhabitants or local interests
- ✓ introduction of hazards into the environment

Within residential areas, small scale entrepreneurships also have impacts on the environment and on their neighbors, such as facilitating the wear and tear of infrastructure including roads, consumption of limited supplies of water and electricity, noise pollution with heavy duty vehicles, equipment, and electricity generators, introduction of waste into the neighborhood, and exposure of neighbors to radiation from special equipment, it follows that entrepreneurs should be mindful of their location and the inhabitants and should ensure that:

- the impact of the entrepreneurial presence and activities is as positive and beneficial as possible
- restoration of the environment, reparations to affected persons and processes, and compensations of losses are made as much as possible.

GIVING BACK to the local community is a sure way of ensuring success, sustainability, and a good name for the entrepreneurship. Ways of giving back include:

- ✓ Paying local taxes and dues
- ✓ Training and employment of suitable members of the community
- ✓ Beautifying the environment
- ✓ Offering educational scholarships
- ✓ Providing a subsidized clinic especially where there is a potential of entrepreneurial hazards
- ✓ Sharing industrial supplies of water, electricity, or other utilities
- ✓ Building roads or other infrastructure
- ✓ Giving compensations
- ✓ Providing aid for the needy and special projects of the community
- ✓ Enriching community life through sports and other sponsorships

ETHICS

Ethics is described by businessDictionary.com[1] as "The basic concepts and fundamental principles of right human conduct. It includes study of universal values such as the essential equality of all men and women, human or natural rights, obedience to the law of land, concern for health and safety and increasingly, also for the natural environment".

An indisputable characteristic of human nature is that nobody likes to be hurt by other people.

- If you pick up an item from a supermarket shelf that is labeled with a price tag of N500 and you take it to the counter and the teller rings up N700, you feel **cheated** and you can conclude that the teller was manipulated to add to prices.
- If you order catering services for your conference and all the participants developed acute diarrhea you get a ***bad reputation.***
- If the events company's microphones failed to work during an exclusive launching of your product with big investors, you ***lose opportunity*** to promote your product.
- If your printer takes a vacation without telling you and with disrespect for your project deadline, you become ***anxious.***
- If your supplier of raw materials failed to show up, you get ***frustrated.***
- If someone changed the position of an important component of your entrepreneurial process without any communication with you, you become ***hindered.***
- If your effort is wasted by somebody who arrives late, you become **angry.**
- If someone fails to pay, you incur ***loss.***

Ethics entails behavioural interaction of human beings that dignify, enhance, and profit the persons on either end of the interactions. For us to be ethical, our actions towards another person or towards people, should be the actions we would love and appreciate from another person.

Simply put, being ethical is being able to put oneself in other people's shoes. It is a strong determinant of morality or the rightness or wrongness of means, actions, and ends.

We ought to be able to recognize moral problems and to contribute to moral solutions. Moral problems are persons, situations, environments, events, things, means, processes, laws, institutions, and establishments etc, that deprive human beings of dignity, opportunity for personal enhancement, and profit.[2]

A quick way to ***judge*** if one's decisions or actions are ethical is to ask:

- Can I, without shame and before the whole world, claim that I did it willfully and in my right mind?
- Would I like the same thing to be done to me?

An entrepreneurship can be negatively affected by certain behaviours of participants such as: tardiness, laziness, incompetence, forgetfulness, apathy, wastefulness, incompliance, insincerity, dishonesty, and greed. These may cause inadvertent hurts to the business and loss of profit. Therefore, concerned employees should be supported to make adjustments.

An entrepreneurship can be positively affected by other behaviours of participants such as good time management, personal organization, serenity, honesty, reliability, availability, competence, loyalty, and generosity. Such behaviours should be encouraged and rewarded financially and through promotion.

If an entrepreneurship routinely, necessarily, or pragmatically evades payments, circumvents regulations and law enforcement, acts in clandestine manner, cheats and beats the system in various ways, then possibly:

- the entrepreneurship is not ethical
- the existing laws, establishments in place, or the mandatory procedures may be too inconvenient or unrealistic or unhelpful.

Entrepreneurships should not fear to dialogue with governments and authorities to ensure that:

- ✓ the right laws are in place
- ✓ the mandatory processes are convenient
- ✓ the establishments they depend on are good

- FITTING THE CULTURE

An entrepreneurship is always situated within an environment, a population, a geographical locality, and a culture value system. The good entrepreneur would keep such peculiarities in mind in order to facilitate acceptance and promotion of entrepreneurial goods and services.

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE (8)

LECTURE 8: TAKING RISK, FACING THREATS AND MANAGING CRISES

OUTLINE
Defining Risk and threats
Essence of Crisis Management

The aim of this lesson note eight is to explain the above outline.

Objectives

On the completion of this lesson note eight, students are expected to understand the risks and threats encountered by entrepreneurs and how they are managed. This will help the students in the following ways:

- To understand business risk
- To have understanding of business threats
- How risks and threats are managed

Taking Risk

Risk is an integral part of parts of daily human life; everyone has a role to play on how they view risk and how it is being handled. We face risk individually so also business entities do.

Risk can be viewed as an adverse variation or deviation from a desired or expected outcome. Also, business risk implies future uncertainty about deviation from expected earnings or expected outcome. Risk is the potential of gaining or losing something of value.

From the above definitions of risks, it can be deduced that the decision to invest money in a particular business or productive activity with the element of uncertainty (without being sure of what the outcome will be, if it will be successful or not) entails taking of risk.

One takes a risk when we decide to build up a barbing saloon for instance; the barbing saloon may either survive or not. There are so many factors that might hinder the survival of the business; the saloon could be engulfed by fire as a result of electricity fault or power surge. The saloon might be unfortunate to employ a less qualified professional stylist which might dent the image of the saloon in no time.

Every aspect and decision making process in a business entails taking risk as the future result of the decision is uncertain.

Every business organization faces a range of risks, some of which are;

- Property risk (this are damages to properties)
- Business/Speculative risk (the risk of either a gain or loss)
- Operational risk (risk encountered during the daily operations of the business organization)
- Liability (legal liabilities to third party properties or life)

Facing Threats

The existence of the aforementioned risks is not an enough excuse for businesses not to exist. All of these risks and many others are threats that are being faced by business organizations. Hence, the emergence of risk management in business.

Risk management is the process of identifying, analyzing and controlling those risks which can threaten the operations, assets and other responsibilities of an organization. following are the process of risk management;

Risk Identification: risk are being identified through the analysis of the organization philosophy, goals and objectives, brainstorming and other documents that can reveal the past records of risk events or losses that has threatened the existence and continuity of the business organization.

Risk Analysis: The organization has to distinguish between risks that can have severe impact on the organization and those that will not have severe impact but are likely to occur often.

Risk Control: After due analysis and evaluation, various measures have to be taken in order to manage or control the effects of all the risks identified. The risk has to be handled in a way that the survival of the organization will not be threaten

Managing Crises

Risk has to be treated effectively and efficiently so as not to threaten the existence of the business organization. Risk of an individual or business organization can be managed using two basic forms;

- Financial risk treatment
- Non-financial risk treatment

Financial Risk Treatment: This implies setting a sum of money to either manage, cope or avoid risk occurrence or it effects on individual or organization. This method involves or entails;

- Transferring risk to insurance company with a cost known as premium.
- Retention/Self-Funding; setting a particular sum of money aside consistently to handle risk event if it happens.
- Captive Insurance; this applies to bigger organization which have the capacity to build an insurance firm for themselves with the main aim to cover all their risks.
- Alternative Risk Transfer; this is a non-traditional risk transfer, they are used loosely to embrace a range of instruments that enable an organization to transfer financial risk to a professional risk career, other than by way of conventional insurance contract. Professional risk carrier in this case is capital markets. These alternative risk transfers includes; derivatives; catastrophe bonds, loans, ‘put options’ etc.

Non-financial risk treatment: This involves other methods of managing risk, coping with risk or avoiding risk occurrence by putting in place some mechanisms or devices to achieve this. This includes; putting fire extinguishers and other mechanisms to combat fire incident in other to manage, cope or avoid with fire incident.

This method of risk treatment entails;

- Risk coping measures (putting in place things that will enable one to be able to blend and able to act normally even after the event of loss).
- Risk reduction measures: (putting in place things that will reduce the severity and frequency loss events).

Putting in place all the aforementioned measures, the business organization can strive for survival. Risk is inevitable, it has to be taken, faced and managed effectively and efficiently.

Threats: Threats are unfavourable conditions in a firm's external environment which can harm or create disaffection to the organisation. They are elements in the environment that could cause trouble for the business venture or project. This could include anything from other companies (who might intrude on your market), to supply shortages (which might prevent you from manufacturing a product).

Following are the major threats that businesses/entrepreneurs are facing today.

1) Poor environmental scanning
2) Inability to Innovate
3) Losing Your Competitive Advantage
4) The High Cost of Reckless Hiring
5) Poor Leadership
6) Communication gap
7) Poor government policy

8) Influx of foreign products

9) Changes in customer preferences that affect buying habits
10) Changes that alter the way customers access your business
11) Changes in politics, policies, and regulations
12) Changes in the economy that affect customer buying habits

13) The appearance of new or stronger competitors

MANAGING CRISES

This is the ability to withstand the external pressure, coordinate business and ensure it generates the expected return.

Crisis: This is a process of transformation where the obsolete system can no longer be maintained. A crisis is also defined as a significant threat to operations that can have negative consequences if not handled properly.

Crisis management: Crisis management is a critical organizational function. It is the process by which an organization deals with a disruptive and unexpected occurrence that threatens to detriment the organization, its stakeholders, or the general public. However, it's important for organizations to have a communication plan in place to control and effectively respond to a crisis or potential crisis situation as quickly as possible. In crisis management, the threat is the potential damage a crisis can inflict on an organization, its stakeholders, and an industry. Therefore, with improvement in communication, we learn new crisis every day.

Features of Crisis

There are three major distinguishing features of crisis which are:

1. Crisis is a series of sudden disturbing occurrence harming the organization.

2. Crisis usually arises on a short notice.

3. Crisis activates a feeling of fear and threat amongst the individuals.

Why Crisis in an Organisation?

1. Violence, thefts and terrorism at the workplace result in organization crisis.

2. Illegal behaviors such as accepting bribes, frauds, data or information tampering all lead to organization crisis.

3. Technological failure and Breakdown of machines lead to crisis.

4. Crisis may arises when employees do not agree to each other and fight amongst themselves.

5. Crisis arises when organization fails to pay its creditors and declares itself a bankrupt organization.

Importance of Crisis Management

1. It helps employees to understand and analyze the causes of crisis and cope with it in the best possible way.

2. Crisis Management helps the managers to feel the early signs of crisis, warn the employees against the aftermaths and take necessary precautions for the same.

3. Crisis Management prepares the individuals to face unexpected developments and adverse conditions in the organization with courage and determination.

4. Crisis Management helps the managers to devise strategies to come out of uncertain conditions and also decide on the future course of action.

5. It enables employees to adjust well to the sudden changes in the organization.

Conclusively, sudden and unexpected event may lead to major unrest within the business venture or business environment that may warrant urgent response from the side of an entrepreneur in order to suppress the danger. Risks and crisis however, affects an individual, group, organization or society as a whole. Therefore, there is a need to develop capacity to manage risks, crisis and change in any business venture.

COURSE CODE: ENT 202

COURSE TITLE: RECYCLING PROFITS, DIVERSIFICATION AND ENSURING SUSTAINABILITY

LESSON NOTE (9)

LECTURE 9: RECYCLING PROFITS DIVERSIFICATION AND ENSURING SUSTAINABILITY

OUTLINE

Defining diversification
Business sustainability

The aim of this lesson note nine is to explain the above outline.

Objectives

On the completion of this lesson note nine, students are expected to understand the importance of recycling of profit to create a new venture (diversification) by entrepreneurs and how to sustain businesses. This will help the students in the following ways:

- To understand how profit can be recycled
- To understand diversification
- To have understanding of how business can be sustained

Recycling in business is the process of converting or transferring resources (money, men, materials and machines) into a related or new business entirely. This action of converting or transferring resources into new or related activities by an entrepreneur in order to sustain his/her business interest is diversification.
Diversification is a substantial change in business definition of an enterprise. Entrepreneur may decide to define his/her business single by concentrating on a single line of production or business or product, or define his/her business to be more than one.

DIVERSIFICATION

Diversification occurs when a company adds to its business either in terms of customer functions, customer groups or alternative technologies. It is used to identify the directions of development, which take the organization away from its present markets and its present products at the same time.

According to de Wit and Meyer, diversification occurs when a corporation enters yet another line of business, either by starting up new activities (internal growth) or by buying another firm (acquisition).

REASONS FOR DIVERSIFICATION `

i) Internal pressure for expansion: Business managers and owners often face a psychological pressure for expansion. They simply get tired of doing the same thing. The possibility of entrepreneur expanding by diversification, of facing the challenges of a new set of business circumstances; is often too attractive to forgo.

ii) Pressure to overcome the growth limits of the firm's economic and industry environment. When the industry market of a firm is saturated, the only reasonable option to grow is to diversify into other industries.

iii) Technological branching. This creates pressure for diversity. A new- technology often spawns a whole family of technologies and a multitude of products and product lines for numerous markets. Management cars design strategies to diversify along with technological branching, or even to develop the branch technologies through aggressive R & D.

iv) To overcome the defects of tax laws. Rather than pay taxes on profits: from the company they own, stockholders often prefer that Managers reinvest earnings in tine business. When there is limited need for such financing in a firm's existing line of business, managers are forced to seek opportunities in other industries into which they eventually diversify.

v) Because of the career expectations of managers. This can create pressure for diversification. By diversifying into other businesses, a company can also create upper level management positions for its upwardly mobile and talented junior people.

There are two general approaches to corporate diversification.

Entrepreneur can take any of the listed option to diversified

a) Related diversification, and b) Unrelated diversification

In Related or concentric diversification, a firm maintains two or more lines: of business, which, although distinct, still possess some kind of strategic fit. Two businesses are related if resources can be productively shared between them. The company's diversification strategy requires taking up those activities, which are related to its existing business definition either in-terms of customer groups, customer functions or alternative technologies: In other words, it represents the development of a business with products that have marketing or technological synergies with the firm's present product. This means that the new business(es) is (are) linked to the company's existing business activity or activities in some ways. The strategic fit or linkages in related diversification can be based on opportunities for strategy alignment and co-ordinated teamwork as well as opportunities for resource leveraging through: .

- Shared technology; common labour skills and requirements;
- Common suppliers and rave material sources;
- Similar operating methods;
- Similar kinds of managerial know-how;
- Market-distribution channel complimentarily or
- Customer overlap and any other aspect, where significant links, commonalties, or sharing opportunities exist in the respective activity cost chains.

Related diversification can take two forms, namely:
Vertical integration and
Horizontal integration

* **Backward integration** which refers to development into activities which are concerned with the inputs into the company's current business. In other ` words, the company goes further back in the value chain by producing its own raw materials, components, machinery, and making its own designs and producing its own finance.

* **Forward integration** which refers to development into activities which are concerned with a company's outputs, that is, the company goes further forward in the value chain by creating/providing its own transport, distribution, repairs and servicing.

* **HORIZONTAL INTEGRATION** This refers to development into activities which are competitive with, or directly complementary to, a company's present activities. In other words, an horizontal integrator manufactures competitive products and or complementary products.

THE ADVANTAGES OF RELATED DIVERSIFICATION ARE AS FOLLOW:

1. It enables a firm to maintain some unity or synergy in its business activities and gain any benefit of strategic fit and cost sharing while at the same time spreading the risks of enterprise over a wider scope.

2. It enables a firm to exploit what it does best and to transfer a distinctive competency or capability based advantage from one existing business to another.

3. It can lead to economies of scale.

THE DISADVANTAGES OF RELATED DIVERSIFICATION ARE AS FOLLOWS:

1) It may require additional investment in marketing infrastructure or new technology.

2) It exposes a firm to the risk of untried markets.

Unrelated or conglomerate diversification is the combination of business units with products that: i) Represent no marketing, technological, or other synergies and; ii) Appeal to new customer classes. In other words, it is a form of diversification in which a company ventures into any industry in which it can make a profit.

In conglomerate diversification, the new business into which the company diversifies has no obvious connection of fit with any of the company's existing business areas. The diversification strategy adopted requires taking up those activities which are unrelated to its existing business definition.

THE MAIN ADVANTAGES OF UNRELATED DIVERSIFICATION ARE AS FOLLOW:

1) It allows the reduction of business risks by spreading investment over a wider range of businesses and. industries.

2) The company using conglomerate diversification strategy can obtain a high return on investment all things being equal provided that the right choice of investment and management have been made.

THE DISADVANTAGES ARE AS FOLLOW:

1. The risks and problems of managing and coordinating entirely new businesses with the existing ones could be high.

2. There is a problem of diversion of resources and attention to other areas leading to a potential loss of concentration and strategic effectiveness.

3. Top management may find it difficult to maintain in-depth familiarity with the strategic issues facing each business unit.

APPROACHES TO DIVERSIFICATION

Strategic managers can achieve corporate portfolio diversification through:

i) Acquisition;

ii) Internal new venturing or development;

iii) Both acquisition and internal development requiring acquisition in one area of business and internal development in another; or

iv) Joint ventures.

Conclusively, entrepreneurs have the opportunities to recycle it profit into the activities that are either related to the present activity or activity that is not related to the present activity. This however, will make an entrepreneur generate more profit, strengthen its position, sustain it drive of self-reliance, creating wealth, employment and generating tax for government.

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 10 (TEN) and 11

LECTURE 10: INTELLECTUAL PROPERTY, PATENT AND REGISTRATION OF BUSINESS OR (LEGAL ISSUES, INSURANCE AND ENVIRONMENTAL CONSIDERATION)

OUTLINE

Defining Intellectual Property

Defining Patent and Registration of Business

Legal Issues, Insurance and Environmental Consideration

The aim of this lesson note ten (10) is to explain the above outline.

Objectives

On the completion of this lesson note ten, students are expected to understand intellectual property from entrepreneurship point of view, know the importance patent and registration of business to entrepreneurship and understand the legal issues, insurance and environmental consideration. This will help the students in the following ways:

- To understand how necessary intellectual property is to entrepreneur
- To know the significance of patent and business registration and
- To legal issues, insurance and environmental consideration.

Introduction

Intellectual property

Intellectual property broadly means the legal rights which result from intellectual activity in the industrial, scientific, literary and artistic fields. Countries have laws to protect intellectual property for two main reasons. One is to give statutory expression to the moral and economic rights of creators in their creations and the rights of the public in access to those creations. The second is to promote, as a deliberate act of Government policy, creativity and the dissemination and application of its results and to encourage fair trading which would contribute to economic and social development. Intellectual property refers to creations of the mind: inventions, literary and artistic works, and symbols, names, and images used in commerce.

Intellectual property is divided into two categories:

i. Industrial Property includes; patents for inventions, trademarks, industrial designs and geographical indications.

ii. Copy right includes literary works such as novels, poems and plays, films, musical works, artistic works such as drawings, paintings, photographs and sculptures, and architectural designs. Rights related to copyright include those of performing artists in their performances, producers of phonograms, and those of broadcasters in their radio and television programmes

The World Intellectual Property Organization (WIPO) is the organization that formulates and implements the statutes that regulate intellectual property. The World Intellectual Property Organization (WIPO) is one of the specialized agencies of the United Nations (UN) system of organizations. The “Convention Establishing the World Intellectual Property Organization” was signed at Stockholm in 1967 and entered into force in 1970. However, the origins of WIPO go back to 1883 and 1886, with the adoption of the Paris Convention and the Berne Convention respectively.

The mission of WIPO is to promote through international cooperation the creation, dissemination, use and protection of works of the human mind for the economic, cultural and social progress of all mankind. Its effect is to contribute to a balance between the stimulation of creativity worldwide, by sufficiently protecting the moral and material interests of creators on the one hand, and providing access to the socio-economic and cultural benefits of such creativity worldwide on the other.

Patent and Patent Rights

A patent is an exclusive right granted for an invention, which is a product or a process that provides a new way of doing something, or offers a new technical solution to a problem.

A patent provides protection for the invention to the owner of the patent. Patent protection means that the invention cannot be commercially made, used, distributed or sold without the patent

owner's consent. These patent rights are usually enforced in a court, which, in most systems, holds the authority to stop patent infringement. Conversely, a court can also declare a patent invalid upon a successful challenge by a third party. A patent owner has the right to decide who may – or may not –use the patented invention for the period in which the invention is protected. The patent owner may give permission to, or license, other parties to use the invention on mutually agreed terms. The owner may also sell the right to the invention to someone else, who will then become the new owner of the patent. Once a patent expires, the protection ends, and an invention enters the public domain, that is, the owner no longer holds exclusive rights to the invention, which becomes available to commercial exploitation by others.

Procedures for getting Patent

The first step in securing a patent is the filing of a patent application. The patent application generally contains the title of the invention, as well as an indication of its technical field; it must include the background and a description of the invention, in clear language and enough detail that an individual with an average understanding of the field could use or reproduce the invention. Such descriptions are usually accompanied by visual materials such as drawings, plans, or diagrams to better describe the invention. The application also contains various "claims", that is, information which determines the extent of protection granted by the patent.

Business Registration

For a business to come into existence, paper works and preliminary works are being done. A business is a legal entity that is distinct from its owner. The following are the procedures that are to be taken before a business can be born.

i. Choose a business structure
ii. Pick a business name
iii. Register the name at the Corporate Affairs Commission
iv. Obtain business license

All of the above can be carefully done by a legal advisor on behalf of the owner (s) of the business.

Legal Issues; Insurance and Environmental Consideration

Various legal issues arise from various business operations carried out by individuals or organizations. The legal liability of any business organization cannot be quantified; legal liability is a very enormous liability its quantum is being determined only by the court of law.

A business organization owes its customers, workers and even passer by a duty of care, a breach of this duty of care requires a redress that is being ordered by a court.

The premises, the product or services or operations of a business organization has to be in order in order to avoid legal liabilities. But, unfortunately one cannot be too sure of everything being perfectly put in place because the business exists with an element of risk. On this note, measures to handle these risks must be established.

The following are the potential legal liabilities a business organization may face.

Public Liability: This relates to legal liability that may be accrued to a business as a result of her relating with the public, i.e. is third party. The risk of third parties being bodily injured or losing life as a result of happens in the business premises or a result of the business organization's equipment being used. This type of legal liability can be provided for by taking a third part insurance coverage. E.g., Third party insurance cover for the business motor vehicles.

Professional Liability: This is the legal liability arising from the professional advice or services offered by the organization. A professional gives advice and is held liable if the advice is acted upon and yields unfavourable result. Service companies such as hospitals, consultants etc. are exposed to this form of legal issue. This form of legal liability can be provided for by buying professional indemnity coverage.

Product Liability: This is the legal liability that arises from the efficacy of a product, i.e. the inability of a product performing the essence of which it is being produced for to the consumers. A legal liability may arise if a consumer purchase a product and the product and the consumer did not get value for the purchase price or get an adverse reaction from the consumption of the product. Product liability insurance can be purchase to protect a business organization from the effect of the legal liability that may occur from a product liability.

Employers Liability: This is the legal liability arising from bodily injury or death of an employee in an organization. This includes any liability that might be imposed on an employer if an employee is injured in the course of his or her employment. Workers' compensation can be used to combat or handle the liability that may arise from employees operation. Although some employers do self insurance; Employers that self-insure may carry excess insurance for occurrences that generate unacceptably large losses for the employer. Workers' Compensation is a compulsory insurance cover.

Insurance

This is a social device providing financial compensation for effects of misfortune, the payments being made from the accumulated contributions of all parties participating in the scheme. It is a contract through policy enactment wherein an individual or entity receives financial protection or reimbursement against losses from an insurance company. Policies designed by Insurance companies are used to combat the risk of financial losses, both big and small, that may result from

damage to the insured or her property, or from liability for damage or injury caused to a third party. It must be stated that insurance exist in order to combat the adverse effects of risk. Entrepreneur cannot separate risk from business existence since life itself is a risk. However, people are more exposed to risk than the other, may be as a result of their job, location, working environment or many other reasons. The major importance of insurance to entrepreneurship is to provide financial cover in case there is loss or any eventuality.

TAKING RISKS AND FACING THREATS

RISK involves the probability of not achieving or attaining what is intended. For starting entrepreneurs, common risks are in taking loans and breaking new ground.

1. BORROWING money to make money should be with the certainty that whatever capital invested can yield sufficient profit through the process planned. Paying back a loan should not hurt the business in future, especially if the hurt could be prolonged.

- Borrowing money for infrastructural needs bears a high risk if what is purchased can ***depreciate*** in value and a low risk if what is purchased can ***appreciate*** in value. For example money borrowed to buy an office building can be recovered if the business fails and the building is sold. Money borrowed to pay for furniture may be more difficult to recover because of the wear-and-tear and depreciation of the property. An entrepreneur can avoid risk by not borrowing money for something that cannot generate money.
- BANKRUPTCY or insolvency is the inability to pay back money to a creditor. The debtor could legally declare bankruptcy or the creditor could file bankruptcy claims against the debtor in order to reclaim as much as possible in cash or in kind. Whatever the case, bankruptcy leaves a stigma on the entrepreneur that is disadvantageous for any future entrepreneurial interests.

2. A certain platform of risk is NEW GROUND entrepreneurship. Some entrepreneurs venture into new ground because of abundance of raw materials, lack of competition, a promising market, or other advantages. Breaking new ground, blazing a trail, introducing a product or process or service, and opening up a new market or field of entrepreneurship entails research, capital, and effort. It takes time for capital to be recovered and the investments to yield profit. The pioneers may not gain from their efforts before other entrepreneurs move into the opportunity. New ground entrepreneurs thus often desire to work out ways of controlling the territory, monopolizing the market, or safely sharing with rivals in order to ensure they do not end up at a loss or even bankrupt.

Entrepreneurs who own a discovery, an innovation, or some creativity often face the risk of other entrepreneurs profiteering on their products at a loss to themselves. They need to ensure that they receive deserved ROYALTIES especially where there are brokers and middlemen involved in transactions. Thus some entrepreneurs may pose a risk or threat to other entrepreneurs.

New ground entrepreneurs, innovators, and creative entrepreneurs can receive some protection through COPYRIGHT, PATENTS, and TRADEMARKS. Membership of a professional association of business circle can also help protect rights.

Apart from special risks, common risks factors that most businesses have to consider are:

- location (for example, rent may be cheap but market may be slow, or conversely rent is high but business moves)
- depletion of raw materials
- change in political climate
- change in seasons, fashions, and fads
- forces of nature
- instability of currency

A THREAT is something that gives one a feeling of imminent harm or loss. Amongst the threats that entrepreneurs face are:

- PIRACY and fakes
- Relatives (who may want such privileges as undeserved employment or unrealistic profit sharing)
- Unethical rivals

Beyond rivals, PROFITEERS, BROKERS, and MIDDLEMEN are entrepreneurs in their own fashion. They are generally not interested in initiating products or services and usually aim at only making money. They may be a threat to new ground entrepreneurs and innovators by capitalizing on their products to divert profit to themselves or to make more profit than those who deserve it most.

Environmental Consideration

Environment is considered to have forces within (internal) and outside (external) the control of an entrepreneur or organisation that can impact either negatively or positively on its operations. Consequently, entrepreneurs has to considered environment for so many reasons

1. To know the nature of the environment where it operates (whether environment is static, dynamic or complex)
2. Audit the environment (to know scan environment using ad-hoc, regularly or continuously)

3. Study the factors shaping the market
4. Know it position in the market
5. Study the internal factors
6. Study the external factors
7. Conduct SWOT analysis.

Without critical study of the environment entrepreneurs will find it difficult to survive and may be not be able to test waters.

Conclusively, it is important that an entrepreneur understand intellectual property, patent, legal related issues, insurance and environmental considerations for proper protection of new inventions, ideas and markets. This will strengthen the entrepreneurs and enhance their proactiveness and drive them towards profitability and sustainability.

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 11

LECTURE 11: BUSINESS OPPORTUNITIES IN LOGISTICS AND CLEARING

THEORY OUTLINE

Logistics is described by BusinessDictionary.com as; Planning, execution, and control of the procurement, movement, and stationing of personnel, material, and other resources to achieve the objectives of a campaign, plan, project, or strategy. It may be defined as the 'management of inventory in motion and at rest'.

The Oxford Advanced Learner's Dictionary[3] describe it as:

"The organization of supplies and services for any complex operation"

Webster's New World Collegiate Dictionary[4] defines it as: The managing of the details of an undertaking.

The salient aspects of good logistics are:

- using the right person for the right job
- using the right equipment for the right purpose
- using the right process for the right end
- doing each thing at the right time

LOGISTICS, therefore, is simply "getting it right".

Good logistics involve simple matters such as:

- maintaining good communication through phone, fax, or e-mail
- knowing the locations and opening and closing hours of useful banks, post offices, couriers, government offices, and transportation systems
- Keeping a list of key and important contacts including email, mailing, and phone information

- Keeping a good address book
- Keeping machines, equipment, and vehicles services and in good working order
- timely repairs
- prompt replacements
- prompt rent, bills, dues, taxes, etc., promptly
- having Internet service and ready sources of information
- keeping guidebooks and instructions handy
- having handy cash and regulating cash flow

Any of these processes, if not in place or timely can seriously upset a business, incur loss, and limit profit.

Good logistics is possible only through effective TEAM WORK.

MEMBERS OF A TEAM need to take care to be:

- ✓ punctual
- ✓ available
- ✓ reliable
- ✓ competent
- ✓ communicative

INTERACTIVE DISCUSSION

Consider the following components of good logistics:

- Good roads
- Good transportation
- Telecommunications
- Security
- Maintenance and repairs
- Cash flow

Spend five minutes discussing each one.

HOMEWORK QUESTION 9

List five logistics problems you are likely to encounter in the process of running a chosen business.

COURSE CODE: ENT 202

COURSE TITLE: BASIC PRINCIPLES OF ENTREPRENEURSHIP

LESSON NOTE 12 (TWELVE)

LECTURE 2: EXPORT OF PRODUCTS AND GOODS

The aim of this lesson note twelve is to explain the above.

INTRODUCTION TO EXPORT MARKETING – I

Structure

1.0 Objectives
1.1 Introduction
1.2 Definitions of Export Marketing
1.3 Features of Export Marketing
1.4 Importance of Export Marketing
1.5 Distinguish between Domestic Marketing and Export Marketing.
1.6 Motivations for Export Marketing
1.7 Present Problems / Difficulties faced by Indian Exporters.
1.8 Summary
1.9 Questions for Self-Assessment

1.1 INTRODUCTION

Export marketing means selling and distribution of goods to other countries of the world. It involves lengthy procedure and formalities. In export marketing, goods are sent abroad as per the procedures framed by the exporting country as well as by the importing country.

- Export Marketing is more complicated than domestic marketing due to international restrictions, global competition, lengthy procedures and formalities and so on.

- Moreover, when a business crossed the borders of a nation, it becomes infinitely more complex. Along with this, export marketing offers ample opportunities for earning huge profits and valuable foreign exchange.
- Export marketing has wider economic significance as it offers various advantages to the national economy. It promotes economic / business / industrial development, to earn foreign exchange and ensures optimum utilization of available resources. Every country takes various policy initiatives for promoting exports and for meaningful participation in global marketing. Global business is a reality and every country has to participate in it for mutual benefits. Every country has to open up its markets to other countries and also try to enter in the markets of other countries in the best possible manner. This is a normal rule which every country has to follow under the present global marketing environment. In the absence of such participation in global marketing, the process of economic development of the country comes in danger.
- **DEFINITIONS OF EXPORT MARKETING**
- 1) According to B. S. Rathor "Export marketing includes the management of marketing activities for products which cross the national boundaries of a country".
- 2) "Export marketing means marketing of goods and services beyond the national boundaries".

FEATURES OF EXPORT MARKETING The main important features of export marketing are as follows. **1) Systematic Process –** Export marketing is a systematic process of developing and distributing goods and services in overseas markets. The export marketing manager needs to undertake various marketing activities, such as marketing research, product design, branding, packaging, pricing, promotion etc. To undertake the various marketing activities, the export marketing manager should collect the right information from the right source; analyze it properly and then take systematic export marketing decisions.

2) Large Scale Operations – Normally, export marketing is undertaken on a large scale. Emphasis is placed on large orders in order to obtain economies in large sole production and distribution of goods. The economies of large scale help the exporter to quote competitive prices in the overseas markets. Exporting goods in small quantities is costly due to heavy transport cost and other formalities.

3) Dominance of Multinational Corporations – Export marketing is dominated by MNCs, from USA, Europe and Japan. They are in a position to develop world wide contacts through their network and conduct business operations efficiently and economically. They produce quality goods at low cost and also on massive scale.

4) Customer Focus – The focus of export marketing is on the customer. The exporter needs to identify customers‟ needs and wants and accordingly design and develop products to generate and enhance customer satisfaction. The focus on customer will not only bring in higher sales in the overseas markets, but it will also improve and enhance goodwill of the firm.

5) Trade barriers – Export marketing is not free like internal marketing. There are various trade barriers because of the protective policies of different countries. Tariff and non-tariff barriers are used by countries for restricting import. The export marketing manager must have a good knowledge of trade barriers imposed by importing countries.

6) Trading Blocs – Export trade is also affected by trading blocs, certain nations form trading bloc for their mutual benefit and economic development. The non-members face problems in

trading with the members of a trading bloc due to common external barriers. Indian exporters should have a good knowledge of important trading blocs such as NAFTA, European Union and ASEAN.

7) Three – faced competition – In export markets, exporters have to face three-faced competition, i.e., competition from the three angles – from the other suppliers of the exporter‟s country, from the local producers of importing country and from the exporters of competing nations.

8) Documentation –

Export marketing is subject to various documentation formalities. Exporters require various documents to submit them to various authorities such as customs, port trust etc. The documents include – Shipping Bill, Consular Invoice, Certificate of Origin etc.

9) Foreign exchange regulations – Export trade is subject to foreign exchange regulations imposed by different countries. These regulations relate to payments and collection of export proceeds. Such restrictions affect free movement of goods among the countries of the world.

10) Marketing – mix Export marketing requires the right marketing mix for the target markets, i.e. exporting the right product, at the right price, at the right place and with the right promotion. The exporter can adopt different marketing – mixes for different export markets, so as to maximize exports and earn higher returns.

11) International marketing Research – Export marketing requires the support of marketing research in the form of market survey, product survey, product research and development as it is highly competitive. Various challenges, identification of needs and wants of foreign buyer in export marketing can be dealt with through international marketing research.

12) Spreading of Risks – Export marketing helps to spread risks of business. Normally export firms sell in a number of overseas markets. If they are affected by risks (losses) in one market, they may be able to spread business risks due to good return from some other markets.

13) Reputation – Export marketing brings name and goodwill to the export firm. Also, the country of its origin the gets reputation. The reputation enables the export firm to command good sales in the domestic market as well as export market.

IMPORTANCE OF EXPORT MARKETING Exports are important for all countries whether developed or underdeveloped. The need / importance / advantages of export marketing can be explained from the viewpoint of a country and that of business organization.

Need / Importance / Advantages of Export Marketing at the National Level:

1) Earning foreign exchange –

Exports bring valuable foreign exchange to the exporting country, which is mainly required to pay for import of capital goods, raw materials, spares and components as well as importing advance technical knowledge.

2) International Relations – Almost all countries of the world want to prosper in a peaceful environment. One way to maintain political and cultural ties with other countries is through international trade.

3) Balance of payment – Large – scale exports solve balance of payments problem and enable countries to have favourable balance of payment position. The deficit in the balance of trade and balance of payments can be removed through large-scale exports.

4) Reputation in the world – A country which is foremost in the field of exports, commands a lot of respect, goodwill and reputation from other countries. For example, Japan commands international reputation due to its high quality products in the export markets.

5) Employment Opportunities – Export trade calls for more production. More production opens the doors for more employment. Opportunities, not only in export sector but also in allied sector like banking, insurance etc.

6) Promoting economic development – Exports are needed for promoting economic and industrial development. The business grows rapidly if it has access to international markets. Large-sole exports bring rapid economic development of a nation.

7) Optimum Utilization of Resources – There can be optimum use of resources. For example, the supply of oil and petroleum products in Gulf countries is in excess of home demand. So the excess production is exported, thereby making optimum use of available resources.

8) Spread Effect – Because of the export industry, other sectors also expand such as banking, transport, insurance etc. and at the same time number of ancillary industries comes into existence to suppo0rt the export sector.

9) Higher standard of Living – Export trade calls for more productions, which in turn increase employment opportunities. More employment means more purchasing power, as a result of which people can enjoy new and better goods, which in turn improves standard of living of the people.

Need / Importance / Advantages of export marketing at Business / Firm / Enterprise Level

1) Reputation – An organization which undertakes exports can bring fame to its name not only in the export markets, but also in the home market. For example, firms like Phillips, HLL, Glaxo, Sony, coca cola, Pepsi, enjoy international reputation.

2) Optimum Production – A company can export its excess production after meeting domestic demand. Thus, the production can be carried on up to the optimum production capacity. This will result in economies of large scale production.

3) Spreading of Risk – A firm engaged in domestic as well as export marketing can spread its marketing risk in two parts. The loss is one part (i.e. in one area of marketing) can be compensated by the profit earned in the other part / area.

4) Export obligation – Some export organization are given certain concessions and facilities only when they accept certain export obligations Large-scale exports are needed to honour such export obligations in India, units operating in the SEZs / FTZs are expected to honour such export obligations against special concessions offered to them.

5) Improvement in organizational efficiency Research, training and the experience in dealing with foreign markets, enable the exporters to improve the overall organizational efficiency.

6) Improvement in product standards An export firm has to maintain and improve standards in quality in order to meet international standards. As a result, the consumers in the home market as well as in the international market can enjoy better quality of goods.

7) Liberal Imports Organizations exporting on a large-scale collect more foreign exchange which can be utilized for liberal import of new technology, machinery and components. This raises the competitive capacity of export organizations.

8) Financial and non-Financial benefits

In India, exporters can avail of a number of facilities from the government. For example, exporters can get DBK, tax exemption etc. They also can get assistance from export promotion organizations such as EPCs IIP, etc.

9) Higher profits – Exports enable a business enterprise to earn higher prices for goods. If the exporters offer quality products, they can charge higher prices than those charged in the home market and thereby raise the profit margin.

1.5 DIFFERENCE BETWEEN DOMESTIC MARKETING AND EXPORT MARKETING. Domestic / Home marketing

Export / International marketing

1) Meaning – Domestic marketing is restricted to political boundaries of a country. It involves buying and selling activities within one country only International marketing covers all countries for marketing purpose. It involves buying and selling activities at the global level.

2) Nature – Domestic marketing is easy and simple due to several reasons such as uniform currency system, limited trade restrictions, uniform trade practices and short distances for transport of goods. International marketing is difficult and complicated due to reasons such as use of different currencies, trade restrictions long distances and absence of uniform trade practices.

3) Trading Blocs – Absence of trading blocs and tariff and non-tariff barriers provide ample scope for expansion in domestic marketing activities. Trading blocs and tariff and non-tariff barriers exist in international marketing and they restrict free trade among the countries of the world.